

Comprehensive Annual Financial Report
For the Year Ended June 30, 2019





Comprehensive Annual Financial Report

For the Year Ended June 30, 2019

West Valley Water District
855 W. Baseline Road
Rialto, California 92376

Prepared by:

West Valley Water District Accounting Department

West Valley Water District

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January 20, 2020

Board of Directors
West Valley Water District

Introduction

It is our pleasure to submit the Comprehensive Annual Financial Report (CAFR) for the West Valley Water District (“District”) for the fiscal year ended June 30, 2019, prepared in accordance with generally accepted accounting principles following guidelines set forth by the Governmental Accounting Standards Board (GASB). District staff prepared this financial report and the District is ultimately responsible for both the accuracy of the data as well as the completeness and fairness of the presentation, including all disclosures in this financial report. We believe that the data presented is accurate in all material respects. This report is designed in a manner that we believe necessary to enhance your understanding of the District’s financial position and activities.

The Pun Group LLP has issued an unmodified (“clean”) opinion of the District’s financial statements for the year ended June 30, 2019. The independent auditor’s report is located at the front of the financial section of this report.

Generally Accepted Accounting Principles (GAAP) requires that management provide a narrative introduction, overview, and analysis to accompany the financial statements in the form of the Management’s Discussion and Analysis (MD&A) section. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The District’s MD&A can be found immediately after the Independent Auditor’s Report.

District Structure and Leadership

The District is an independent special district, which operates under the authority of Division 12 of the California Water Code. Formed in 1952, the District is governed by a five member Board of Directors (“Board”), elected at-large from within the District’s service area. The General Manager administers the day-to-day operations of the District in accordance with policies and procedures established by the Board. The District employs approximately 89 regular employees in various functions including operations, maintenance, engineering, finance, customer service, meter reading, human resources, conservation, external affairs, business systems, information technology, and administration. The Board meets on the first and third Thursdays of each month. Meetings are publicly noticed and citizens are encouraged to attend.

The District provides water service to approximately 22,193 connections within its thirty-two (32) square mile service area, located in southwestern San Bernardino County with a small area of northwestern Riverside County. The service area encompasses one half of the City of Rialto, portions of Bloomington, Colton, Fontana, Jurupa Valley, and some of the unincorporated areas of San Bernardino and Riverside counties.

District Services

Residential customers represent approximately 93% of the District’s customer base and consume approximately 66% of the water produced annually by the District. The District currently has a total of 17 groundwater wells with a maximum production capacity of approximately 42,000 Acre-Feet per year. The District also operates a surface water treatment plant with a capacity of 14.4 million gallons per day (mgd) and a biological treatment plant for perchlorate destruction with a capacity of 3.9 (mgd).

Economic Condition and Outlook

The District's Office is located in the City of Rialto in San Bernardino County. San Bernardino and Riverside counties (also known as the Inland Empire) have begun to witness increased economic activity from new development as the region continues to recover from the recent recession. The District's source of water production comes from various sources which include: 1) local water from several groundwater basins, 2) surface water from Lytle Creek in the San Bernardino Mountains, and 3) the California State Water Project – Silverwood Lake.

The District has also teamed up with the City of Rialto and is operating a state-approved biological treatment process "bioremediation" that employs naturally occurring micro-organisms to remove perchlorate and other contaminants in the basins drinking water supplies as well as reduce the need for waste handling and disposal in a cost effective manner. The District considers this to be the first major step in a regional undertaking that will ultimately restore the region's groundwater resources.

Status of Drought Conditions

On April 7, 2017, Governor Edmund G. Brown J. issued Executive Order B-40-17 lifting the drought emergency in most of California, while maintaining water reporting requirements and prohibitions on wasteful processes, encouraging, and continuing making water conservation a way of life.

The District continues to support its customers by providing rebates that incentivize a change in habit and promote awareness on water conservation and efficiency. The District continues to depend heavily on groundwater supplies that are replenished by local precipitation and conservation will continue to be key to our growing region of Inland Southern California.

Major Initiatives

The activities of the Board and staff are driven by our mission statement, "to provide our customers with safe, high quality, and reliable drinking water service at a reasonable rate and in a sustainable manner." To that end, the District's major priorities include the following:

1. Continue to deliver safe, reliable, high quality water at an affordable price.
2. Nurture a culture that values our employees, customer service, innovation, integrity, excellence, transparency, and conservation.
3. Implement technologies that increase efficiency and enhance safety.
4. Plan and be prepared for anticipated significant housing growth in the District.
5. Further refine procedures to ensure the District safeguards ratepayer funds, operates efficiently, enhances transparency, and protects employees and District assets.

All programs and operations of the District are developed and performed at the highest level to ensure that quality water is delivered to all of its customers.

Accomplishments

The District has achieved the following initiatives in fiscal year 2018-19:

1. For the eight consecutive year, the District received the Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association for the 2018 Comprehensive Annual Financial Report. This award is one of the best practices for local governments seeking to provide greater transparency and ease of understanding in financial reporting.
2. Completed five well rehabilitation projects (Wells 7, 8A, 15 & 54).
3. Completed the installation of a deaeration tank at Well 54 to remove excess air from the groundwater.

4. Developed a blending plan for Well 2 which was permitted by the state.
5. Completed relocation of ion exchange vessels to Well 41 for the perchlorate removal.
6. Constructed 30-Inch Transmission Main in Highland Avenue from Pepper Avenue to Oakdale Avenue.
7. Constructed 12-Inch Waterline, Service and Fire Hydrants in Persimmon Avenue, Summit Avenue, and Linden Avenue.

Internal Control Structure

District management is responsible for the establishment and maintenance of the internal control structure that ensures the assets of the District are protected from loss, theft, or misuse. The internal control structure also ensures adequate accounting data is compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles and is designed to provide reasonable assurance that these objectives are met. The concept of reasonable assurance recognizes that (1) the cost of a control should not exceed the benefits likely to be derived and (2) the valuation of costs and benefits requires estimates and judgments by management.

Budgetary Control

The Board annually adopts an operating and capital budget prior to the new fiscal year beginning July 1st of each year. The budget authorizes and provides the basis for reporting and control of financial operations and accountability for the District's enterprise operations and capital projects. The budget and reporting treatment applied to the District is consistent with the accrual basis of accounting and the financial statement basis.

Investment Policy

The Board has adopted an investment policy that conforms to state law, District ordinances, and resolutions, prudent money management principles, and "prudent person" standards. The objective of the Investment Policy is safety, liquidity, and yield. District funds are normally invested in the State Treasurer's Local Agency Investment Fund, CalTRUST institutional savings, Federal government Treasury notes, agency obligations and other investments.

Long-Term Financial Planning

The District's financial plan includes the establishment of reserve funds in accordance with the District's Reserve Policy. Reserve funds are set to ensure the continued orderly operation of the District's water system, the provision of services to customers at established levels, and the continued stability of the District's rate structure. The District has committed to the following objectives in the Reserve Policy as of June 30, 2019.

1. The District will strive to adopt a balanced budget.
2. Capital Reserves are established to provide funds for capital facility and equipment replacement.
3. Liquidity Reserves are established to safeguard the financial flexibility and stability of the District and to maintain stable customer charges and rates.
4. Restricted Reserves are maintained to comply with restrictions imposed by outside sources such as creditors, grantors, contributors, laws, or regulations.

Debt Administration

The District has received and maintained a credit rating of AA- from Standard and Poor's. Revenue Bonds were issued in December 2016. The bond proceeds were used to pay off 2006D-2 Installment Purchase Agreement.

Other Postemployment Benefits Pre-Funding

In fiscal year 2014, the District began participating in a program to pre-fund the cost of its post-employment benefits plan through the California Public Employees Retirement System (CalPERS) Trust. The District annually contributes funding.

Water Rates and District Revenues

In 2013, the District changed its rate structure from uniform rates to tiered rates and established rate increases for five consecutive years through 2017. Following a financial study in 2015, the District concluded that previously approved rate increases for 2016 and 2017 were unnecessary. In 2018, the District issued a rebate to customers for 2017 water consumption charges averaging \$100 in May 2018. The District remains in sound financial condition with adequate reserves going forward.

Water Conservation Programs

As the District responds to changing conservation regulations at the state level, Ordinance 83 represents the current approach to water conservation. Adopted on August 18, 2016 along with a move to Stage 2 watering restrictions, Ordinance 83 incorporates the District's 15% voluntary conservation standard. The standards provide additional flexibility for our customers while improving the clarity of the regulations in order to support meeting conservation goals. The District will also maintain conservation educational programs in partnership with the school districts and community groups, continue indoor and outdoor rebates and water audits, and implement grant programs encouraging turf replacement projects in disadvantaged communities.

Independent Audit and Financial Reporting

State Law and Bond covenants require the District to obtain an annual audit of its financial statements by an independent certified public accountant. The accounting firm of The Pun Group, LLP has conducted the audit of the District's financial statements. Their unmodified Independent Auditor's Report appears in the Financial Section.

Risk Management

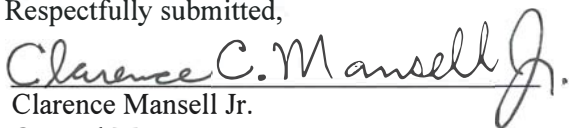
The District is a member of the Association of California Water Agencies Joint Power Insurance Authority (Authority). The purpose of the Authority is to arrange and administer programs of insurance for the pooling of self-insured losses and to purchase excess insurance coverage. The District's Human Resources/Risk Management Department provides staff with regular safety training each month as part of the District's safety program.

Other References

More information is contained in the MD&A and in the Notes to the Basic Financial Statements found in the Financial Section of the report.

Preparation of this report was accomplished by the combined efforts of District staff. We appreciate the dedicated efforts and professionalism that these staff members contribute to the District. We would also like to thank the members of the Board for their continued support in planning and implementation of the District's fiscal policies.

Respectfully submitted,


Clarence C. Mansell Jr.

General Manager

Our Mission Statement

“To provide a reliable, safe drinking water supply to meet our customers’ present and future needs at a reasonable cost and to promote water-use efficiency and conservation”

Elected Board of Directors as of June 30, 2019

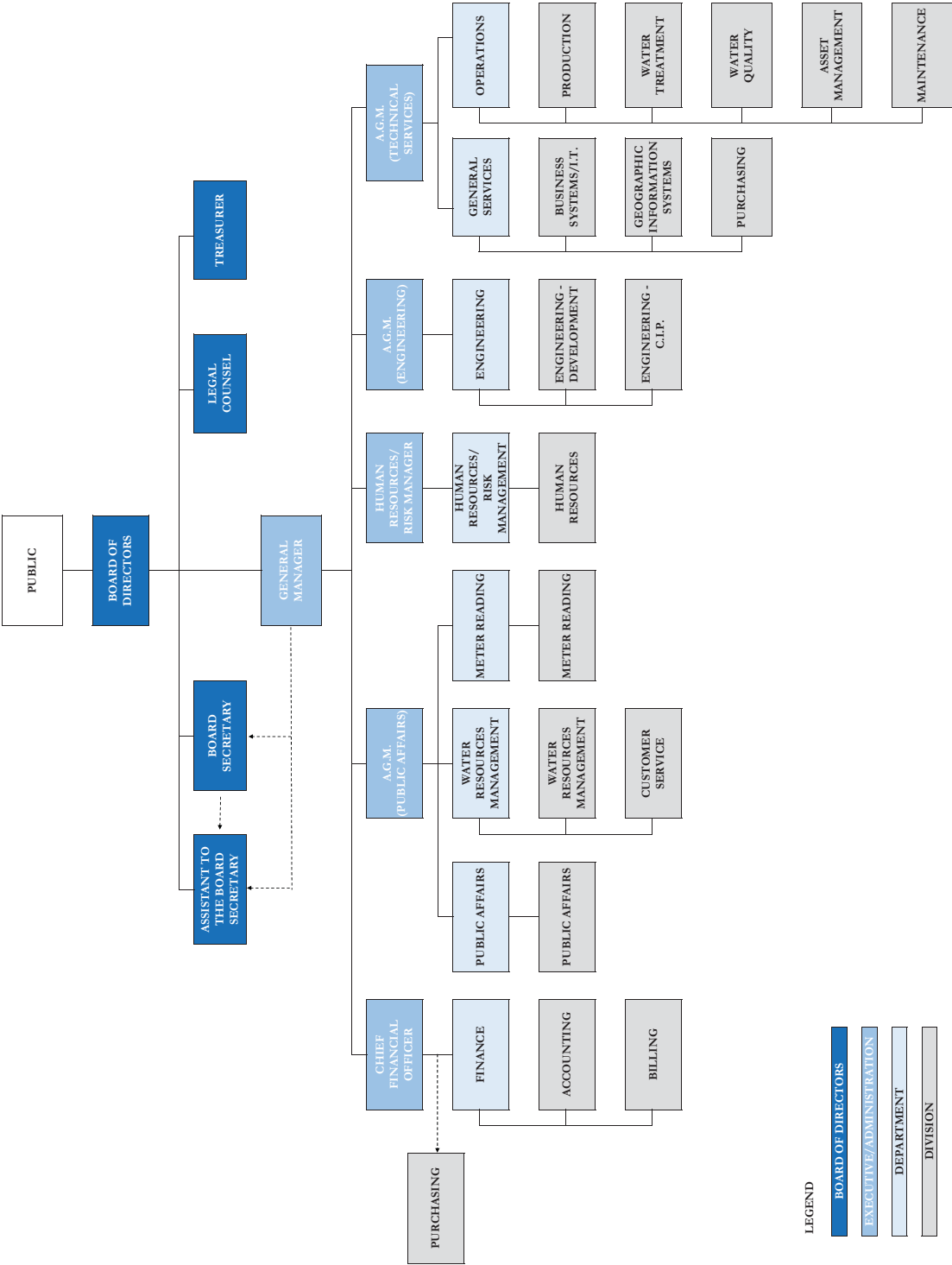
Name	Title	Current Term
Dr. Michael Taylor	President	11/17 - 11/21
Kyle Crowther	Vice President	11/17 - 11/19
Dr. Clifford O. Young, Sr.	Director	11/17 - 11/21
Greg Young	Director	11/15 - 11/19
Don Olinger	Director	11/15 - 11/19

**West Valley Water District
Clarence Mansell, General Manager
855 W. Baseline Road
Rialto, California 92376
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WEST VALLEY WATER DISTRICT

FISCAL YEAR 2018-2019 MID YEAR BUDGET

ORGANIZATIONAL STRUCTURE





The Government Finance Officers Association
of the United States and Canada

presents this

AWARD OF FINANCIAL REPORTING ACHIEVEMENT

to

Accounting Department
West Valley Water District, California



The award of Financial Reporting Achievement is presented by the Government Finance Officers Association to the individual(s) designated as instrumental in their government unit achieving a Certificate of Achievement for Excellence in Financial Reporting. A Certificate of Achievement is presented to those government units whose annual financial reports are judged to adhere to program standards and represents the highest award in government financial reporting.

Executive Director

Christopher P. Morill

Date August 1, 2019

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
of the West Valley Water District
Rialto, California

Report on the Financial Statements

We have audited the accompanying financial statements of the West Valley Water District (the "District") as of June 30, 2019 and the related notes to the basic financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the District as of June 30, 2019, and the respective changes in financial position, and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, Schedule of the District's Proportionate Share of the Net Pension Liability and Related Ratios, Schedule of Contributions - Pensions, the Schedule of Changes in Net Other Postemployment Benefits Liability and Related Ratios, and the Schedules of Contributions – Other Postemployment Benefits on pages 3 through 8 and 47 through 51 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Introductory Section and the Statistical Section are presented for purposes of additional analysis and are not a required part of the basic financial statements. The Introductory Section and the Statistical Section have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated January 20, 2020 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "The PwC Group, LLP". The signature is written in a cursive, flowing style.

Santa Ana, California
January 20, 2020

West Valley Water District
Management's Discussion and Analysis (Unaudited)
For the Year Ended June 30, 2019

The management of the West Valley Water District (District) presents the District's financial statements with a narrative overview and analysis of the financial activities for the fiscal year ended June 30, 2019. We encourage readers to consider the information presented here in conjunction with the audited financial statements which follow this section.

Financial Highlights

- In 2019, the District's net position increased approximately \$15.8 million, from \$125.7 million to \$141.5 million or 12.6%.
- In 2019, the District's operating revenues decreased by (.66%), or \$187,207 primarily to a decreased in water usage.
- In 2019, the District's operating expenses increased 5.93%, or \$1,657,533, primarily due to an increase in source of supply of \$768,093, pumping of \$122,943, customer accounts of \$424,772, public affairs of \$240,045, and other general and administrative expense of \$142,152.
- In 2019, the Districts non-operating revenues increased by 160.52%, or \$4,839,201. Primarily due to Interest and Investment Earnings of \$1,427,610 and Other non-operating revenues of \$2,995,042.
- In 2019, the Districts non-operating expenses decreased by (71.93%) or \$2,299,373. Primarily due to water rate (one time) rebate that was incurred in 2018.
- In 2019, the District had net income before capital contributions of \$5,681,196.

Overview of the Financial Statements

This discussion and analysis serves as an introduction to the District's financial statements. The District's financial statements comprise two components: 1) fund financial statements and 2) notes to the financial statements. This report also contains other supplementary information in addition to the financial statements themselves.

The *statement of net position* presents information on all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources with the difference between the four reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the District is improving or deteriorating.

The *statement of revenues, expenses and changes in net position* presents information showing how net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., earned but unused vacation leave).

The *statement of cash flows* presents information showing the sources and uses of cash related to operating activities, noncapital financing activities, capital and related financing activities and investing activities. In addition, the statement provides information about significant non-cash investing, capital and financing activities.

Notes to the financial statements provide additional information that is essential to a full understanding of the data provided in the fund financial statements.

West Valley Water District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2019

Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the District, assets exceeded liabilities by \$141.5 million as of June 30, 2019.

The largest portion of the District's net position during June 30, 2019 (71%), reflects its net investment in capital assets (e.g., land, buildings, machinery, and equipment); less any related debt used to acquire those assets that is still outstanding. The District uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the District's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Condensed Statement of Net Position

	2019	2018	Change \$	Change %
Assets				
Current assets	\$ 67,084,478	\$ 54,694,499	\$ 12,389,979	22.65%
Noncurrent assets	7,443,368	7,805,979	(362,611)	-4.65%
Capital assets	125,693,015	117,609,581	8,083,434	6.87%
Total assets	200,220,861	180,110,059	20,110,802	11.17%
Deferred outflows of resources	5,412,906	3,899,998	1,512,908	38.79%
Liabilities:				
Current liabilities	9,721,627	6,956,234	2,765,393	39.75%
Noncurrent liabilities	48,228,234	44,330,117	3,898,117	8.79%
Total liabilities	57,949,861	51,286,351	6,663,510	12.99%
Deferred inflows of resources	6,179,207	7,020,730	(841,523)	-11.99%
Net position:				
Net investment in capital assets	100,736,605	95,204,664	5,531,941	5.81%
Restricted	10,699,965	7,875,322	2,824,643	35.87%
Unrestricted	30,068,129	22,622,990	7,445,139	32.91%
Total net position	\$ 141,504,699	\$ 125,702,976	\$ 15,801,723	12.57%

As of June 30, 2019, and 2018, the District reports a positive balance in its unrestricted net position of \$30,068,129 and \$22,622,990, respectively.

West Valley Water District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2019

Condensed Statement of Revenues, Expenses, and Changes in Net Position

	2019	2018	Change \$	Change %
Operating revenues	\$ 28,356,765	\$ 28,543,972	\$ (187,207)	-0.66%
Operating expenses	(29,632,239)	(27,974,706)	(1,657,533)	5.93%
Operating income (loss)	(1,275,474)	569,266	(1,844,740)	-324.06%
Nonoperating revenues (expenses)	6,956,670	(75,752)	7,032,422	-9283.48%
Income before capital contributions	5,681,196	493,514	5,187,682	1051.17%
Capital contributions	10,120,527	16,643,552	(6,523,025)	-39.19%
Changes in net position	15,801,723	17,137,066	(1,335,343)	-7.79%
Net position:				
Beginning of year	125,702,976	108,565,910	17,137,066	15.78%
End of year	\$ 141,504,699	\$ 125,702,976	\$ 15,801,723	12.57%

The statement of revenues, expenses, and changes of net position shows how the District's net position changed during the years. In the case of the District, the net position increased by \$15,801,723 and \$17,137,066 during the years ended June 30, 2019 and 2018, respectively. Property contributions and capacity charge revenues from new development received were \$10,120,527 and \$16,643,552 during the years ended June 30, 2019 and 2018, respectively.

Total District Revenues

	2019	2018	Change \$	Change %
Operating Revenues:				
Water consumption sales	\$ 17,163,673	\$ 17,370,508	\$ (206,835)	-1.19%
Water service charges	7,350,127	7,201,939	148,188	2.06%
Other operating revenue	3,842,965	3,971,525	(128,560)	-3.24%
Total operating revenues	28,356,765	28,543,972	(187,207)	-0.66%
Nonoperating Revenues:				
Property taxes	2,305,151	2,023,173	281,978	13.94%
Grants and reimbursements	703,949	554,897	149,052	26.86%
Interest and investment earnings	1,795,521	367,911	1,427,610	388.03%
Rental revenue	33,860	32,941	919	2.79%
Gain on sales of capital assets	-	15,400	(15,400)	-100.00%
Other non-operating revenues	3,015,464	20,422	2,995,042	14665.76%
Total nonoperating revenues	7,853,945	3,014,744	4,839,201	160.52%
Total revenues	\$ 36,210,710	\$ 31,558,716	\$ 4,651,994	14.74%

West Valley Water District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2019

The District's total revenues increased \$4,651,994 during the fiscal year ended June 30, 2019. The increase in revenues due to an increase in investment earnings of \$1,427,610 from prior year. In addition, the District received a settlement of about \$3 million.

Total District Expenses

	2019	2018	Change \$	Change %
Operating Expenses:				
Source of supply	\$ 1,740,717	\$ 972,624	\$ 768,093	78.97%
Pumping	3,189,444	3,066,501	122,943	4.01%
Water treatment	4,101,693	4,110,055	(8,362)	-0.20%
Transmission and distribution	1,966,357	2,074,410	(108,053)	-5.21%
Customer accounts	2,456,429	2,031,657	424,772	20.91%
Public affairs	1,520,168	1,280,123	240,045	18.75%
General and administrative	8,313,067	8,170,915	142,152	1.74%
Depreciation expense	6,022,835	5,946,892	75,943	1.28%
Amortization of water participation rights	321,529	321,529	-	0.00%
Total operating expenses	29,632,239	27,974,706	1,657,533	5.93%
Nonoperating Expenses:				
Interest expenses	897,275	879,953	17,322	1.97%
Water rate rebate	-	2,263,619	(2,263,619)	-100.00%
Changes in contingent liability	-	53,076	(53,076)	-100.00%
Total nonoperating expenses	897,275	3,196,648	(2,299,373)	-71.93%
Total expenses	\$ 30,529,514	\$ 31,171,354	\$ (641,840)	-2.06%

The District's total expenses decreased \$641,840 during the fiscal year ended June 30, 2019. For 2019, the District incurred more expense for source of supply due to increased water purchases. However, the District experienced higher cost in pumping and water treatment; increased pumping from our own wells and Fixed Bed Reactor (FBR) plant operations increased electrical cost significantly. Other significant non-operating decrease resulted from a Board approved rebate to customers in the amount of \$2,263,619 during 2018. Additional customer rebates are not anticipated at this time. For 2019, the District also incurred higher general and administrative cost.

West Valley Water District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2019

Capital Asset Administration

The District's capital assets (net of accumulated depreciation) as of June 30, 2019 and 2018 were in the amounts of \$125,693,015, and \$117,609,581, respectively. This includes land and land rights, transmission and distribution systems, wells, tanks, reservoirs, pumps, building and structures, equipment, vehicles and construction-in-process. In 2019, various capital projects were finalized and added to capital assets. See note 3 for further information.

	June 30, 2019	June 30, 2018	Changes \$	Changes %
Non-depreciable assets:				
Land and land rights	\$ 2,212,967	\$ 2,212,967	\$ -	0.00%
Water rights	404,949	404,949	-	0.00%
Construction-in-process	8,342,042	4,343,489	3,998,553	92.06%
Total non-depreciable assets	10,959,958	6,961,405	3,998,553	57.44%
Depreciable assets:				
Source of supply plant	6,025,030	5,863,657	161,373	2.75%
Pumping plant	10,918,047	10,823,375	94,672	0.87%
Bio-remediation plant	24,907,020	24,907,020	-	0.00%
Water treatment plant	35,708,659	32,228,636	3,480,023	10.80%
Transmission and distribution plant	117,270,985	111,212,275	6,058,710	5.45%
General plant and equipment	13,487,000	13,174,062	312,938	2.38%
Total depreciable assets	208,316,741	198,209,025	10,107,716	5.10%
Less accumulated depreciation:				
Accumulated depreciation	(93,583,684)	(87,560,849)	(6,022,835)	6.88%
Total depreciable assets, net	114,733,057	110,648,176	4,084,881	3.69%
Total capital assets, net	\$ 125,693,015	\$ 117,609,581	\$ 8,083,434	6.87%

Long-Term Debt Administration

At the end of June 30, 2019 and 2018, the District had total long-term debt of \$32,221,890, and \$29,991,926, respectively. In 2019, long-term debt increased by \$2,229,964, due to issuance of the debt for Hydroelectric Plant.

	June 30, 2019	June 30, 2018	Change \$	Change %
Water Revenue Refunding				
Bonds, Series 2016A	\$ 21,040,000	\$ 21,440,000	\$ (400,000)	-1.87%
Add: Unamortized Premium	1,116,146	1,156,763	(40,617)	-3.51%
Total bond payable	22,156,146	22,596,763	(440,617)	-1.95%
Hydroelectric Plant	2,979,051	-	2,979,051	N/A
Water Participation Rights				
Contract payable	7,086,693	7,395,163	(308,470)	-4.17%
Total long-term debt	\$ 32,221,890	\$ 29,991,926	\$ 2,229,964	7.44%

Additional information on the District's long-term debt can be found in note 6 of this report.

West Valley Water District
Management's Discussion and Analysis (Unaudited) (Continued)
For the Year Ended June 30, 2019

Economic Factors and Next Year's Budgets and Rates

Increased construction in the geographical service area of the district will more than likely lead to increased water sales. It is expected to have a positive effect on the District's financial position. Management is unaware of any conditions that would have a significant negative effect on our profitability or operating results in future periods.

Requests for Information

This financial report is designed to provide the District's funding sources, customers, stakeholders and other interested parties with an overview of the District's financial operations and financial condition. Should the reader have questions regarding the information included in this report or wish to request additional financial information, please contact the District's Chief Financial Officer at 855 W. Baseline Road, Rialto, CA 92376, by mail at P.O. Box 920, Rialto, CA 92377 by phone (909) 820-3706.

BASIC FINANCIAL STATEMENTS

West Valley Water District
Statement of Net Position
June 30, 2019

ASSETS

Current assets:

Cash and cash equivalents (Note 2)	\$ 7,058,473
Investments (Note 2)	54,610,047
Accrued interest receivable	101,555
Accounts receivable – water sales and services, net	3,192,453
Accounts receivable – redevelopment pass-through	41,082
Grant reimbursement receivable	284,313
Accounts receivable – other	96,860
Property taxes receivable	9,814
Due from other governments	191,296
Materials and supplies inventory	287,398
Prepaid water	782,763
Prepaid items	428,424
Total current assets	67,084,478

Noncurrent assets:

Accounts receivable - redevelopment pass-through	369,734
Water participation rights, net (Note 4)	7,073,634
Capital assets (Note 3):	
Nondepreciable	10,959,958
Depreciable, net of accumulated depreciation	114,733,057
Capital assets, net	125,693,015
Total noncurrent assets	133,136,383
Total assets	200,220,861

DEFERRED OUTFLOWS OF RESOURCES

Deferred outflows of resources:

Deferred outflows of resources related to pensions (Note 7)	2,192,180
Deferred outflows of resources related to OPEB (Note 8)	3,028,880
Deferred amount on refunding at debt	191,846
Total deferred outflows of resources	5,412,906

West Valley Water District
Statement of Net Position (Continued)
June 30, 2019

LIABILITIES

Current liabilities:

Accounts payable and accrued expenses	4,070,547
Accrued salaries and related payables	388,546
Accrued interest payable	225,230
Pass-through utility user taxes payable	121,009
Customer deposits	1,940,516
Construction advances and deposits	1,495,759
Long-term liabilities – due within one year:	
Compensated absences (Note 5)	417,391
Contract payable (Note 6)	652,629
Bonds payable (Note 6)	410,000
Total current liabilities	<u>9,721,627</u>

Noncurrent liabilities:

Unearned revenue – developers	601,019
Long-term liabilities – due in more than one year:	
Compensated absences (Note 5)	341,502
Contingent liability (Note 10)	438,970
Contract payable (Note 6)	9,413,115
Bonds payable (Note 6)	21,746,146
Net pension liability (Note 7)	5,714,823
Net other post-employment benefits liability (Note 8)	9,972,659
Total noncurrent liabilities	<u>48,228,234</u>
Total liabilities	<u>57,949,861</u>

DEFERRED INFLOWS OF RESOURCES

Deferred inflows of resources:

Deferred inflows of resources related to pensions (Note 7)	568,947
Deferred inflows of resources related to OPEB (Note 8)	5,610,260
Total deferred inflows of resources	<u>6,179,207</u>

NET POSITION

Net position:

Net investment in capital assets (Note 9)	100,736,605
Restricted for:	
Capital projects	10,699,965
Unrestricted	30,068,129
Total net position	<u><u>\$ 141,504,699</u></u>

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West Valley Water District
Statement of Revenues, Expenses and Changes in Net Position
For the Year Ended June 30, 2019

OPERATING REVENUES:

Water consumption sales	\$ 17,163,673
Water service charges	7,350,127
Other operating revenue	3,842,965
Water rate rebate	
Total operating revenues	<u>28,356,765</u>

OPERATING EXPENSES:

Source of supply	1,740,717
Pumping	3,189,444
Water treatment	4,101,693
Transmission and distribution	1,966,357
Customer accounts	2,456,429
Public affairs	1,520,168
General and administrative	8,313,067
Depreciation expense	6,022,835
Amortization of water participation rights	321,529
Total operating expenses	<u>29,632,239</u>

OPERATING (LOSS)	<u>(1,275,474)</u>
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NONOPERATING REVENUES (EXPENSES):

Property taxes	2,305,151
Grants and reimbursements	703,949
Interest and investment earnings	1,795,521
Rental revenue	33,860
Other non-operating revenues	3,015,464
Interest expense	(897,275)
Total nonoperating revenues (expenses)	<u>6,956,670</u>

Income before capital contributions	5,681,196
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CAPITAL CONTRIBUTIONS:

Developer contributions	4,148,149
Capacity charges	5,972,378
Total capital contributions	<u>10,120,527</u>

CHANGES IN NET POSITION	15,801,723
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NET POSITION:

Beginning of year	125,702,976
End of year	<u>\$ 141,504,699</u>

West Valley Water District
Statement of Cash Flows
For the Year Ended June 30, 2019

CASH FLOWS FROM OPERATING ACTIVITIES:

Cash receipts from customers for water sales and services	\$ 24,998,438
Cash rebated to customers	(406)
Cash paid to employees for salaries and benefits	(8,717,927)
Cash paid to vendors and suppliers for materials and services	(13,436,946)
Cash received from others	3,925,836
Net cash provided by operating activities	<u>6,768,995</u>

CASH FLOWS FROM NONCAPITAL

FINANCING ACTIVITIES:

Property taxes and fee collected	2,305,151
Receipts from other revenues	3,962,377
Net cash provided by noncapital financing activities	<u>6,267,528</u>

**CASH FLOWS FROM CAPITAL AND
RELATED FINANCING ACTIVITIES:**

Acquisition and construction of capital assets	(14,301,792)
Proceeds from developer contributions	4,148,149
Proceeds from capacity charges	5,972,378
Proceeds from sale of capital assets	195,523
Proceed from issuance of long-term debt	3,310,150
Principal paid on long-term debt	(1,039,570)
Interest paid on long term debt	(939,886)
Net cash (used in) capital and related financing activities	<u>(2,655,048)</u>

CASH FLOWS FROM INVESTING ACTIVITIES:

Purchase of investments	(5,527,316)
Interest received	1,129,943
Net cash (used in) investing activities	<u>(4,397,373)</u>

Net change in cash and cash equivalents	<u>5,984,102</u>
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CASH AND CASH EQUIVALENTS:

Beginning of year	1,074,371
End of year	<u>\$ 7,058,473</u>

West Valley Water District
Statement of Cash Flows (Continued)
For the Year Ended June 30, 2019

**RECONCILIATION OF OPERATING
(LOSS) TO NET CASH PROVIDED BY
OPERATING ACTIVITIES:**

Operating (loss)	\$ (1,275,474)
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:	
Depreciation expense	6,022,835
Amortization of water participation rights	321,529
(Increase) decrease in:	
Accounts receivable – water sales and services, net	(50,443)
Grant reimbursement receivable	21,879
Accounts receivable – other	80,971
Property taxes receivable	10,290
Due from other government	82,871
Materials and supplies inventory	(26,853)
Prepaid water	(368,949)
Prepaid items	37,252
Accounts receivable - redevelopment pass-through	41,082
Deferred outflows of resources - pensions	365,747
Deferred outflows of resources - OPEB	(1,878,655)
Increase (decrease) in:	
Accounts payable and accrued expenses	1,880,104
Accrued salaries and related payables	54,254
Pass-through utility user taxes payable	16,310
Customer deposits	191,561
Changes in Net Pension Liability	(139,795)
Change in Net OPEB Liability	1,862,434
Construction advances and deposits	189,298
Compensated absences	172,270
Deferred inflows of resources - pensions	(61,643)
Deferred inflows of resources - OPEB	(779,880)
Total adjustments	<u>8,044,469</u>
Net cash provided by operating activities	<u>\$ 6,768,995</u>

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NOTES TO THE BASIC FINANCIAL STATEMENTS

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West Valley Water District
Notes to the Basic Financial Statements
For the Year Ended June 30, 2019

Note 1 – Reporting Entity and Summary of Significant Accounting Policies

Organization and Operations of the Reporting Entity

Established on January 8, 1952, the West Valley Water District (the “District”) is located in Southwestern San Bernardino County with a small area of Northwestern Riverside County. The District’s service area is approximately 32 square miles. The District uses 376 miles of water mains to provide water to approximately 21,000 customers. The District is governed by a five-member Board of Directors who serve overlapping four-year terms.

The West End Water Development, Treatment and Public Affairs Joint Powers Authority (the “Authority”) was formed on April 7, 1989, pursuant to the provisions of Article I, Chapter S, Division 7, Title 1 of the California Government Code. The Authority is deemed to be a component unit of the West Valley Water District, City of Rialto and the Municipal Water Department of the City of San Bernardino. The District’s portion of the Authority has been included in these financial statements using the blended method of reporting. The Authority has had no activity in the past 10 years and reports no assets or liabilities.

The criteria used in determining the scope of the financial reporting entity is based on generally accepted accounting principles. The District is the primary governmental unit based on the foundation of a separately elected governing board that is elected by the citizens in a general popular election. Component units are legally separate organizations for which the elected officials of the primary government are financially accountable. The District is financially accountable if it appoints a voting majority of the organization’s governing body and: 1) It is able to impose its will on that organization, or 2) There is a potential for the organization to provide specific financial benefits to, or impose specific financial burdens on, the primary government.

Basis of Presentation

Financial statement presentation follows the recommendations promulgated by the Governmental Accounting Standards Board (“GASB”) commonly referred to as accounting principles generally accepted in the United States of America (“U.S. GAAP”). GASB is the accepted standard-setting body for establishing governmental accounting and financial reporting standards.

Basis of Accounting and Measurement Focus

The District reports its activities as an enterprise fund, which is used to account for operations that are financed and operated in a manner similar to a private business enterprise, where the intent of the District is that the costs of providing water to its service area on a continuing basis be financed or recovered primarily through user charges (water sales), capital grants and similar funding.

The financial statements are reported using the “*economic resources*” measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Grants and similar items are recognized as revenue as all eligibility requirements have been met. Interest associated with the current fiscal period is considered to be susceptible to accrual and so has been recognized as revenue of the current fiscal period.

Operating revenues and expenses, such as water sales and water purchases, result from exchange transactions associated with the principal activity of the District. Exchange transactions are those in which each party receives and gives up essentially equal values. Management, administration, and depreciation expenses are also considered operating expenses. Other revenues and expenses, not included in the above categories, are reported as non-operating revenues and expenses.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Basis of Accounting and Measurement Focus (Continued)

The Statement of Net Position reports separate sections for Deferred Outflows of Resources, and Deferred Inflows of Resources, when applicable.

Deferred Outflows of Resources represent outflows of resources (consumption of net position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of net position) that apply to future periods and that, therefore, will not be recognized as revenue until that time.

Cash and Cash Equivalents

Cash and cash equivalents include all highly liquid investments with original maturities of 90 days or less and are carried at cost, which approximates fair value.

Investments

Investments are stated at fair value. Changes in fair value that occur during a fiscal year are recognized as investment income reported for that fiscal year. Investment income includes interest earnings, changes in fair value, and any gains or losses realized upon the liquidation or sale of investments.

Fair Value Measurements

U.S. GAAP defines fair value, establishes a framework for measuring fair value and establishes disclosures about fair value measurement. Investments, unless otherwise specified, recorded at fair value in the Statements of Net Position, are categorized based upon the level of judgment associated with the inputs used to measure their fair value. Levels of inputs are as follows:

Level 1 — Inputs are unadjusted, quoted prices for identical assets and liabilities in active markets at the measurement date.

Level 2 — Inputs, other than quoted prices included in Level 1, that are observable for the asset or liability through corroboration with market data at the measurement date.

Level 3 — Unobservable inputs that reflect management's best estimate of what market participants would use in pricing the asset or liability at the measurement date.

Restricted Assets

Certain assets of the District are restricted in use by ordinance or debt covenant and, accordingly, are shown as restricted assets on the accompanying statement of net position. Revenue bond reserve funds and construction funds set aside from bond proceeds are restricted for future debt service payments and construction projects. The District uses restricted resources, prior to using unrestricted resources, to pay expenditures meeting the criteria imposed on the use of restricted resources by a third party.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Accounts Receivable and Allowance for Uncollectible Accounts

The District extends credit to customers in the normal course of operations. When management deems customer accounts uncollectible, the District uses the allowance method for the reservation and write-off of those accounts.

Materials and Supplies Inventory

Materials and supplies inventory consist primarily of water meters, pipe and pipe fittings for construction and repair to the District's water transmission and distribution system. Inventory is valued at cost using a weighted average method. Inventory items are charged to expense at the time that individual items are withdrawn from inventory or consumed.

Prepaid Items

Certain payments to vendors reflect costs or deposits applicable to future accounting periods and are recorded as prepaid items in the basic financial statements.

Water Stock – Fontana Union Water Company

Over the years, the District has acquired stock in the Fontana Union Water Company in order to obtain water rights within the Company's service area. The stock is presented with investments in the accompanying statement of net position, and is reported at acquisition cost, which approximates fair value.

Accounts Receivable – Redevelopment Pass-Through

The District has a tax pass-through agreement with the City of Rialto; whereby, the County of San Bernardino auditor-controller is to pay a portion of the City's incremental tax receipts directly to the District for water-related improvements within the Agua Mansa redevelopment area. Over the past several years, the District has received an annual payment of the revenue that it is entitled to and it is anticipated that the District will continue to collect annual payments through fiscal year 2029.

Capital Assets

Capital assets acquired and/or constructed are capitalized at historical cost. District policy has set the capitalization threshold for reporting capital assets at \$5,000. Donated assets are recorded at estimated fair market value at the date of donation. Upon retirement or other disposition of capital assets, the cost and related accumulated depreciation are removed from the respective balances and any gains or losses are recognized.

Depreciation is recorded on a straight-line basis over the estimated useful lives of the assets as follows:

Source of supply plant	20 years
Pumping plant	10 - 20 years
Water treatment plant	10 years
Transmission and distribution plant	15 - 60 years
General plant	5 - 20 years

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Compensated Absences

The District's personnel policies provide for accumulation of vacation and sick leave. Liabilities for vacation and sick leave are recorded when benefits are earned. Cash payment of unused vacation is available to those qualified employees when retired or terminated.

Construction Advances and Deposits

Construction advances represent deposits received in aid of construction, which are refundable if the applicable construction does not take place. Construction advances are transferred to contributed capital when the applicable construction project is completed.

Defined Benefit Pension Plans

In accordance with GASB 68, there is a requirement that the measurement date not to exceed one year to the prior financial reporting date. Since this is an interim financial statement, the measurement date is greater than one year. Accordingly, the audit report is qualified.

For purposes of measuring the net pension liability, and deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net pension of the District's pension plans and additions to/deductions from the plan's fiduciary net position have been determined on the same basis as they are reported by plans (Note 7). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

The following timeframes are used for pension reporting:

<u>CalPERS</u>	<u>June 30, 2019</u>
Valuation date	June 30, 2017
Measurement date	June 30, 2018
Measurement period	July 1, 2017 to June 30, 2018

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over 5 years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retirees) as of the beginning of the measurement period.

Other Postemployment Benefits ("OPEB")

In accordance with GASB 75, there is a requirement that the measurement date not to exceed one year to the prior financial reporting date. Since this is an interim financial statement, the measurement date is greater than one year. Accordingly, the audit report is qualified.

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District's OPEB Plan and additions to/deductions from OPEB Plan's fiduciary net position have been determined on the same basis as they are reported by the Plan (Note 8). For this purpose, the OPEB Plan recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value, except for money market investments, which are reported at amortized cost.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

The following timeframes are used for pension reporting:

<u>OPEB</u>	<u>June 30, 2019</u>
Valuation date	June 30, 2018
Measurement date	June 30, 2018
Measurement period	July 1, 2017 to June 30, 2018

Net Position

The financial statements utilize a net position presentation. Net position is categorized as follows:

Net investment in capital assets – This component of net position consists of capital assets, net of accumulated depreciation, reduced by any outstanding balances of debt that are attributable to the acquisition, construction or improvement of those assets.

Restricted– This component of net position consists of restricted assets reduced by liabilities and deferred outflows and inflows of resources related to those assets.

Unrestricted – This component of net position is the amount of the assets, deferred outflows or resources, liabilities, and deferred inflows of resources that are not included in the determination of net investments in capital assets or the restricted component of net position.

Water Sales and Sewer Services

Water sales and sewer services are billed on a monthly cyclical basis and recognize the respective revenues when they are earned.

Capital Contributions

Capital contributions represent cash and capital asset additions contributed to the District by property owners, granting agencies or real estate developers desiring services that require capital expenditures or capacity commitment. Any prepayments received by the District are reported as unearned revenue until construction of the related project has commenced and the District is reasonably certain they will be completed. Upon completion, the applicable amounts are recognized as capital contributions.

Budgetary Policies

The District adopts an annual non-appropriated budget for planning, control, and evaluation purposes. Budgetary control and evaluation are affected by comparisons of actual revenues and expenses with planned revenues and expenses for the period. Encumbrance accounting is not used to account for commitments related to unperformed contracts for construction and services.

Use of Estimates

The preparation of the basic financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results most likely will differ from those estimates.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments

Cash and investments as of June 30, 2019 were classified in the accompanying financial statements as follows:

Cash and cash equivalents	\$ 7,058,473
Investments	<u>54,610,047</u>
Total cash and investments	<u><u>\$ 61,668,520</u></u>

Cash and investments as of June 30, 2019 consist of the following:

Cash on hand	\$ 4,300
Deposits held with financial institutions	7,054,173
Investments	<u>54,610,047</u>
Total cash and investments	<u><u>\$ 61,668,520</u></u>

Investments Authorized by the California Government Code and the District's Investment Policy

The table below identifies the investment types that are authorized by the District in accordance with the California Government Code (or the District's investment policy, where more restrictive). The table also identifies certain provisions of the California Government Code (or the District's investment policy, where more restrictive) that address interest rate risk, credit risk, and concentration of credit risk.

This table does not address investments of debt proceeds held by bond trustees that are governed by the provisions of debt agreements of the District, rather than the general provisions of the California Government Code or the District's investment policy.

Authorized Investment Type	Maximum Maturity	Maximum Percentage Of Portfolio	Maximum Investment in One Issuer
U.S. Treasury Obligations	5 years	None	None
U.S. Government Sponsored Entity Securities ¹	3 years	None	None
Certificate of Deposit ²	5 years	None	50%
Money Market Mutual Funds	N/A	20%	50%
Collateralized Bank Deposits ³	5 years	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
CalTrust	2 years	None	None
Municipal Securities	5 years	20%	None
Banker's Acceptances	180 days	25%	50%
Commercial Paper	270 days	25%	10%
Repurchase Agreement	90 days	10%	50%
Medium-Term Notes	5 years	30%	50%
Local Government Investment Pools (LGIP)	5 years	50%	50%
Supranational	5 years	30%	10%

¹ Purchase of callable Federal Agency Obligations are limited to a maximum 30% of portfolio.

² Only a maximum 30% of surplus funds can be invested in Certificates of Deposit.

³ Only a maximum of 20% the portfolio may be invested in Time Certificate of Deposits (TCDs). The maturity of TCDs may not exceed 4 years.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments (Continued)

Fair Value Measurements

At June 30, 2019, investments are reported at fair value. The following table presents the fair value measurement of investments on a recurring basis and the levels within GASB 72 fair value hierarchy in which the fair value measurements fall at June 30, 2019:

Investment Type	Measurement Input		
	Significant Observable Inputs	Uncategorized	Total
	(Level 2)		
CalTrust	\$ -	\$ 25,818,494	\$ 25,818,494
U.S. Agency Obligations	2,752,598	-	2,752,598
U.S. Treasury Obligations	6,022,305	-	6,022,305
U.S. Corporate	3,233,598	-	3,233,598
Supranational	498,537	-	498,537
Local Agency Investment Fund (LAIF)	-	16,214,350	16,214,350
Money Market Mutual Funds	-	70,165	70,165
Total	\$ 12,507,038	\$ 42,103,009	\$ 54,610,047

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. One of the ways that the District manages its exposure to interest rate risk is by purchasing a combination of shorter term and longer term investments by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity as necessary to provide the cash flow and liquidity needed for operations.

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the table on the following page that shows the distribution of the District's investments by maturity.

The District's investments as of June 30, 2019 were as follows:

Investment Type	Investment Maturities (in Years)			Fair Value Total
	Less Than 1 Year	1 to 3 Years	3 to 5 Years	
CalTrust	\$ 15,337,183	\$ 10,481,311	\$ -	\$ 25,818,494
U.S. Agency Obligations	1,498,574	2,013,262	2,510,468	6,022,304
U.S. Treasury Obligations	747,325	996,162	1,009,111	2,752,598
U.S. Corporate	149,954	1,507,867	1,575,777	3,233,598
Supranational	-	248,907	249,631	498,538
Local Agency Investment Fund (LAIF)	16,214,350	-	-	16,214,350
Money Market Mutual Funds	70,165	-	-	70,165
Total	\$ 34,017,551	\$ 15,247,509	\$ 5,344,987	\$ 54,610,047

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments (Continued)

Custodial Credit Risk

The custodial credit risk for *deposits* is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party.

The custodial credit risk for *investments* is the risk that, in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. With respect to investments, custodial credit risk generally applies only to direct investments in marketable securities. Custodial credit risk does not apply to a local government's indirect investment in securities through the use of mutual funds or government investment pools (such as LAIF).

Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. State law limits investments in commercial paper and corporate bonds to the top two ratings issued by nationally recognized statistical rating organizations (NRSROs). It is the District's policy to limit its investments in these investment types to the top rating issued by NRSROs, including raters Standard and Poor's, and Moody's Investors Service. Presented in the following table is the Standard and Poor's credit ratings for the Districts investments as of June 30, 2019.

Investment Type	Total As of June 30, 2019	Minimum Legal Rating	A or Higher	Unrated
CalTrust	\$ 25,818,494	N/A	\$ -	\$ 25,818,494
U.S. Agency Obligations	6,022,304	N/A	6,022,304	-
U.S. Treasury Obligations	2,752,598	N/A	2,752,598	-
U.S. Corporate	3,233,598	A	3,233,598	-
Supranational	498,538	AA	498,538	-
Local Agency Investment Fund (LAIF)	16,214,350	N/A	-	16,214,350
Money Market Mutual Funds	70,165	AAA	70,165	-
Total	<u>\$ 54,610,047</u>		<u>\$ 12,577,203</u>	<u>\$ 42,032,844</u>

Concentration of Credit Risk

The District's investment policy contains various limitations on the amounts that can be invested in any one governmental agency or non-governmental issuer as stipulated by the California Government Code. Investments in any one issuer (other than U.S. Treasury securities, mutual funds, and external investment pools) that represent 5% or more of total District investments are as follows:

There were no investments in any one non-governmental issuer that represent 5% or more of the District's total investments as of June 30, 2019.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments (Continued)

Local Agency Investment Funds

The District is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by the California Government Code under the oversight of the Treasurer of the State of California. The fair value of the District's investment in this pool is reported in the accompanying financial statements at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which are recorded on an amortized cost basis.

The District's investment with LAIF at June 30, 2019, included a portion of the pool funds investing in Structured Notes and Asset-Backed Securities:

Structured Notes: debt securities (other than asset-backed securities) whose cash flow characteristics (coupon rate, redemption amount, or stated maturity) depend upon one or more indices and/or that have embedded forwards or options.

Asset-Backed Securities: generally, mortgage-backed securities that entitle their purchasers to receive a share of the cash flows from a pool of assets such as principal and interest repayments from a pool of mortgages (for example, Collateralized Mortgage Obligations) or credit card receivables.

The District had \$16,214,350 invested in LAIF, which had invested 1.77% of the pooled investment funds in structured notes and medium-term asset-backed securities as of June 30, 2019, respectively. The LAIF fair value factor of 1.00171179 was used to calculate the fair value of the investments in LAIF as of June 30, 2019.

Investment in CalTRUST

The Investment Trust of California, doing business as CalTRUST, is a California joint powers authority which provides California Public Agencies with investment management services for surplus funds to consolidate investment activities of its Participants and thereby reduces duplication, achieves economies of scale and carries out coherent and consolidated investment strategies through the issuance of shares of beneficial interest in investments purchased by CalTRUST. CalTRUST currently offers three accounts or series as a means for Public Agencies to invest their funds. The District participates in the CalTRUST Short-Term Fund Series and CalTRUST Medium-Term Fund Series.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 3 – Capital Assets

Changes in capital assets for the year ended June 30, 2019, were as follows:

	Balance July 1, 2018	Additions	Deletions	Transfers	Balance June 30, 2019
Non-depreciable assets:					
Land and land rights	\$ 2,212,967	\$ -	\$ -	\$ -	\$ 2,212,967
Water rights	404,949	-	-	-	404,949
Construction-in-process	4,343,489	6,313,768	(195,523)	(2,119,692)	8,342,042
Total non-depreciable assets	6,961,405	6,313,768	(195,523)	(2,119,692)	10,959,958
Depreciable assets:					
Source of supply plant	5,863,657	161,373	-	-	6,025,030
Pumping plant	10,823,375	-	-	94,672	10,918,047
Bio-remediation plant	24,907,020	-	-	-	24,907,020
Water treatment plant	32,228,636	3,401,702	-	78,321	35,708,659
Transmission and distribution plant	111,212,275	4,149,797	-	1,908,913	117,270,985
General plant and equipment	13,174,062	275,152	-	37,786	13,487,000
Total depreciable assets	198,209,025	7,988,024	-	2,119,692	208,316,741
Less accumulated depreciation:					
Source of supply plant	(3,828,182)	(277,473)	-	-	(4,105,655)
Pumping plant	(7,263,686)	(473,432)	-	-	(7,737,118)
Bio-remediation plant	(3,720,641)	(830,234)	-	-	(4,550,875)
Water treatment plant	(27,044,198)	(970,933)	-	-	(28,015,131)
Transmission and distribution plant	(39,510,971)	(2,646,852)	-	-	(42,157,823)
General plant and equipment	(6,193,171)	(823,911)	-	-	(7,017,082)
Total accumulated depreciation	(87,560,849)	(6,022,835)	-	-	(93,583,684)
Total depreciable assets, net	110,648,176	1,965,189	-	2,119,692	114,733,057
Total capital assets, net	\$ 117,609,581	\$ 8,278,957	\$ (195,523)	\$ -	\$ 125,693,015

Depreciation expense for the year ended June 30, 2019 was \$6,022,835.

Major capital assets additions during the current year include the upgrades and extensions of the District's transmission and distribution, water treatment plant, general plant and pumping plant. A significant portion of these additions were constructed by the District and/or sub-contractors and transferred out of construction-in-process, upon completion of these various projects.

Construction-In-Process

The construction-in-process balances at June 30, 2019 are as follows:

Fixed Bed Reactor Design	\$ 3,000,000
Zone 4 30' WL in Highland	1,594,121
Zone 6 12" Persimmon & Sum	1,374,932
Zone 6-Well 54 Deare Tank	306,390
Various minor district projects	2,066,167
Various other developer projects	432
Total construction-in-process	\$ 8,342,042

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 4 – Water Participation Rights

In 2012, the District acquired water participation rights from the San Bernardino Valley Municipal Water District for \$9,645,865. The District is amortizing the participation rights until January 31, 2041. Changes in water participation rights for the year ended June 30, 2019, were as follows:

Description	Balance July 1, 2018	Additions	Deletions	Balance June 30, 2019
Water participation rights	\$ 9,645,865	\$ -	\$ -	\$ 9,645,865
Less: accumulated amortization	(2,250,702)	(321,529)	-	(2,572,231)
Water participation rights, net	<u>\$ 7,395,163</u>	<u>\$ (321,529)</u>	<u>\$ -</u>	<u>\$ 7,073,634</u>

Note 5 – Compensated Absences

Changes to compensated absences for the year ended June 30, 2019 were as follows:

	Balance July 1, 2018	Earned	Taken	Balance June 30, 2019	Current Portion	Non-current Portion
Compensated absences	<u>\$ 586,621</u>	<u>\$ 724,133</u>	<u>\$ (551,861)</u>	<u>\$ 758,893</u>	<u>\$ 417,391</u>	<u>\$ 341,502</u>

Note 6 – Long-Term Debt

Changes in long-term debt for the year ended June 30, 2019 were as follows:

	Balance July 1, 2018	Additions	Deletions	Balance June 30, 2019	Amount Due Within One Year	Amount Due In More Than One Year
Water Revenue Refunding						
Bonds, Series 2016A	\$ 21,440,000	\$ -	\$ (400,000)	\$ 21,040,000	\$ 410,000	\$ 20,630,000
Add: Unamortized Premium	1,156,763	-	(40,617)	1,116,146	-	1,116,146
Total bond payable	22,596,763	-	(440,617)	22,156,146	410,000	21,746,146
Hydroelectric Plant	-	3,310,151	(331,100)	2,979,051	331,100	2,647,951
Water Participation Rights						
Contract payable	7,395,163	-	(308,470)	7,086,693	321,529	6,765,164
Total long-term debt	<u>\$ 29,991,926</u>	<u>\$ 3,310,151</u>	<u>\$ (1,080,187)</u>	<u>\$ 32,221,890</u>	<u>\$ 1,062,629</u>	<u>\$ 31,159,261</u>

Water Revenue Refunding Bonds Series 2016A

The 2016A Bonds were issued to provide funds, together with certain other moneys: (i) to prepay all amounts payable under the Series 2006D-2 Bonds installment purchase agreement between the District and California Statewide Communities Development Authority; and (ii) pay costs of issuance of the 2016A Bonds. The 2016A Bonds were issued pursuant to an Indenture of Trust, dated December 1, 2016, by and between the District and U.S. Bank National Association. The 2016A Bonds were in the aggregate principal amount of \$22,035,000. The 2016A Bonds were dated as of the date of initial issuance, and will bear interest ranging from 2.00% to 5.00% per annum, payable on April 1 and October 1, commencing April 1, 2017, and ending October 1, 2047. The Series 2016A Bonds are payable solely from the net revenues of the District's water system as defined in the Series 2016A Bond Indenture.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

Water Revenue Refunding Bonds Series 2016A (Continued)

The amount outstanding at June 30, 2019 was \$21,040,000. The annual debt service requirements on these bonds are as follows:

Year Ending June 30,	Principal	Interest	Total
2020	\$ 410,000	\$ 903,450	\$ 1,313,450
2021	415,000	895,250	1,310,250
2022	430,000	882,800	1,312,800
2023	440,000	869,900	1,309,900
2024	455,000	856,700	1,311,700
2025-2029	2,590,000	3,964,500	6,554,500
2030-2034	3,290,000	3,266,400	6,556,400
2035-2039	3,265,000	2,366,750	5,631,750
2040-2044	3,910,000	1,636,200	5,546,200
2045-2047	5,835,000	700,200	6,535,200
Total	<u>\$ 21,040,000</u>	<u>\$ 16,342,150</u>	<u>\$ 37,382,150</u>

Hydroelectric Plant

In December 20, 2016, the District entered into an agreement with San Bernardino Valley Municipal Water District (“Valley District”) to finance and construct Roemer Hydroelectric Station. In the agreement, the Valley District agreed to finance the cost of the project total amounted of \$3,310,151 with the interest that the Valley District shall be revenue neutral in this financing arrangement. Beginning June 2018, the District shall repay the principal of the project funds, together with all interest accruing thereon, annually to the Valley District. As of June 30, 2019, the outstanding balance of the financing was in the amount of \$2,979,051.

Future debt service requirements are as follows:

Year Ending June 30,	Principal
2020	\$ 331,100
2021	331,100
2022	331,100
2023	331,100
2024	331,100
Thereafter	1,323,551
Total	<u>\$ 2,979,051</u>

Water Participation Rights Contract Payable

In 2012, the District acquired water participation rights from the San Bernardino Valley Municipal Water District. These rights entitle the District to purchase water from the Baseline Feeder system. The payment for the rights is calculated at 5,000-acre feet at \$90 per acre foot, per year, payable in monthly installments of \$26,794, until January 31, 2041. The calculated annual amount of \$321,529 is a minimum usage fee which does not actually represent the purchase of any water. Purchased water is billed in addition to the minimum fee.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

Water Participation Rights Contract Payable (Continued)

Future debt service requirements are as follows:

Year Ending June 30,	Principal
2020	\$ 321,529
2021	321,529
2022	321,529
2023	321,529
2024-2028	1,607,645
2029-2033	1,607,645
2034-2038	1,607,645
2039-2041	977,642
Total	<u><u>\$ 7,086,693</u></u>

Note 7 – Defined Benefit Pension Plans

The following is the summary of net pension liability and related deferred outflows of resources and deferred inflows of resources at June 30, 2019 and pension expense for the year then ended.

Deferred outflows of resources:

Pension contribution made after measurement date	\$ 812,147
Difference between expected and actual experiences	219,267
Difference between projected and actual earnings on pension investments	28,253
Adjustment due to difference in proportion	370,386
Difference between District's contribution and proportionate share of contribution	110,620
Change of assumptions	651,507
Total deferred outflows of resources	<u><u>\$ 2,192,180</u></u>

Net pension liability:

Miscellaneous	\$ 5,714,823
Total net pension liability	<u><u>\$ 5,714,823</u></u>

Deferred inflows of resources:

Difference between expected and actual experiences	\$ 74,615
Adjustment due to difference in proportion	115,238
Difference between District's contribution and proportionate share of contribution	219,422
Change of assumptions	159,672
Total deferred inflows of resources	<u><u>\$ 568,947</u></u>

Pension Expense:

Miscellaneous	\$ 976,651
Total pension expense	<u><u>\$ 976,651</u></u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 7 – Defined Benefit Pension Plans (Continued)

General Information about the Pension Plan

Plans Description

The District contributes to the California Public Employees Retirement System (CalPERS), a cost-sharing multiple-employer defined benefit pension plan. CalPERS acts as a common investment and administrative agent for participating public agencies within the State of California. Benefit provisions and all other requirements are established by state statute and the District. A full description of the pension plan regarding number of employees covered, benefit provisions, assumptions (for funding, but not accounting purposes), and membership information are listed in the June 30, 2017 Annual Actuarial Valuation Report. This report and CalPERS' audited financial statements are publicly available reports that can be obtained at CalPERS' website under Forms and Publications.

Benefits Provided

CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member becomes eligible for service retirement upon attainment of age 55 with at least 5 years of credited service. PEPRAs miscellaneous members become eligible for service retirement upon attainment of age 62 with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 36 or 12 consecutive months' full-time equivalent monthly pay. Retirement benefits for classic miscellaneous employees are calculated as 2% of the average final 12 months compensation. Retirement benefits for PEPRAs miscellaneous employees are calculated as 2% of the average final 36 months compensation.

Participant is eligible for non-industrial disability retirement if becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8% of final compensation, multiplied by service. Industrial disability benefits are not offered.

The Plan's provisions and benefits in effect as of June 30, 2019 are summarized as follows:

	Miscellaneous Plan	
	Classic Tier 1	PEPRA Tier 2
	Prior to January 1, 2013	On or After January 1, 2013
Benefit formula	2.0% @ 55	2.0% @ 62
Benefit vesting schedule	5 years service	5 years service
Benefit payments	monthly for life	monthly for life
Retirement age	50-67 & up	52-67 & up
Required employee contribution rates	7.000%	6.250%
Required employer contribution rates	8.921%	6.533%

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 7 – Defined Benefit Pension Plans (Continued)

General Information about the Pension Plan (Continued)

Employees Covered by Benefit Terms

As of June 30, 2017, the valuation date, the following employees were covered by the benefit terms for the Plan:

	Miscellaneous Plan	
	Classic	PEPRA
Active employees	51	26
Transferred and terminated employees	33	1
Retired employees and beneficiaries	37	-
Total	121	27

Contributions

Section 20814(c) of the California Public Employees' Retirement Law ("PERL") requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through CalPERS' annual actuarial valuation process. The Public agency cost-sharing plans covered by the miscellaneous risk pools, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees.

For the measurement period ended June 30, 2018, the active employee contribution rate for miscellaneous plan and PEPRA miscellaneous plan is 7.00% and 6.25% of annual pay, respectively, and the employer's contribution rate is 8.921% and 6.533% of annual payroll, respectively.

For the measurement period ended June 30, 2017, the active employee contribution rate for miscellaneous plan and PEPRA miscellaneous plan is 7.00% and 6.25% of annual pay, respectively, and the employer's contribution rate is 8.880% and 6.555% of annual payroll, respectively.

Net Pension Liability

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

The June 30, 2017 valuation was rolled forward to determine the June 30, 2018 total pension liability, based on the following actuarial assumptions:

Actuarial Cost Method	Entry Age Normal in accordance with the requirement of GASB
Actuarial Assumptions:	
Discount Rate	7.15%
Inflation	2.50%
Salary Increases	Varies by Entry Age and Service
Mortality Rate Table ¹	Derived using CalPERS' Membership Data for all Funds
Post Retirement Benefit Increase	Contract COLA up to 2.00% until Purchasing Power Protection Allowance Floor on Purchasing Power applies, 2.50% thereafter

¹The mortality table used in 2018 was developed based on CalPERS' specific data. The table includes 15 years of mortality improvements using Society of Actuaries Scale 90% of scale MP 2016. For more details on this table, please refer to December 2017 Experience Study Report (based on CalPERS demographic data from 1997 to 2015) that can be found on the CalPERS website at www.calpers.ca.gov under Forms and Publications.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 7 – Defined Benefit Pension Plans (Continued)

Net Pension Liability (Continued)

Change of Assumptions

In 2018, demographic assumptions and inflation rate were changed in accordance to the CalPERS Experience Study and Review of Actuarial Assumptions December 2017. There were no changes in the discount rate. In 2017, the accounting discount rate was reduced from 7.65 to 7.15 percent.

Long-term Expected Rate of Return

The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all of the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11+ years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the rounded single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equal to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses.

The expected real rates of return by asset class are as followed:

Asset Class ¹	Assumed Asset Allocation	Real Return Years 1-10 ²	Real Return Years 11+ ³
Global Equity	50%	4.80%	5.98%
Global Fixed Income	28%	1.00%	2.62%
Inflation Sensitive	0%	0.77%	1.81%
Private Equity	8%	6.30%	7.23%
Real Estate	13%	3.75%	4.93%
Liquidity	1%	0.00%	-0.92%

¹In the CalPERS' CAFR, Fixed Income is included in Global Debt Securities; Liquidity is included in Short-term Investments; Inflation Assets are included in both Global Equity Securities and Global Debt Securities.

²An expected inflation of 2.00% used for this period

³An expected inflation of 2.92% used for this period.

Discount Rate

The discount rate used to measure the 2018 total pension liabilities was 7.15 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current member contribution rates and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 7 – Defined Benefit Pension Plans (Continued)

Changes in the Net Pension Liability

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability of the Plan as of the measurement date, calculated using the discount rate of 7.15%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1 percentage-point lower (6.15%) or 1 percentage-point higher (8.15%) than the current rate for the June 30, 2018 Measurement Date as follows:

	Plan's Net Pension Liability/(Asset)		
	Discount Rate - 1 % (6.15 %)	Current Discount Rate (7.15 %)	Discount Rate + 1 % (8.15 %)
Miscellaneous Plan	\$ 9,680,015	\$ 5,714,823	\$ 2,441,623

Pension Plan Fiduciary Net Position

Detailed information about the plan's fiduciary net position is available in the separately issued CalPERS financial report.

Proportionate Share of Net Pension Liability and Pension Expense

The following table shows the District's miscellaneous plan's proportionate share of the risk pool collective net pension liability over the measurement period for the Miscellaneous Plan for the fiscal year ended June 30, 2019.

	Miscellaneous Plan		
		Increase (Decrease)	
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability/(Asset) (c) - (a) - (b)
Balance at June 30, 2017 (Valuation Date)	\$ 27,157,658	\$ 21,303,040	\$ 5,854,618
Balance at June 30, 2018 (Measurement Date)	29,312,907	23,598,084	5,714,823
Net Changes during 2017-2018	2,155,249	2,295,044	(139,795)

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 7 – Defined Benefit Pension Plans (Continued)

Changes in the Net Pension Liability (Continued)

Proportionate Share of Net Pension Liability and Pension Expense (Continued)

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2017). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2018). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2018 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2017-18).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date. TPL is allocated based on the rate plan's share of the actuarial accrued liability. FNP is allocated based on the rate plan's share of market value assets.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

Deferred outflows of resources, deferred inflows of resources, and pension expense are allocated based on the District's share of contributions made during the measurement period.

The District's proportionate share of the net pension liability for the Plan as of the June 30, 2017, and 2018 measurement dates was as follows:

June 30, 2017	0.0590%
June 30, 2018	0.0593%
Change - Increase (Decrease)	<u>0.0003%</u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 7 – Defined Benefit Pension Plans (Continued)

Pension Expense and Deferred Outflows and Deferred Inflows of Resources Related to Pensions

For the measurement periods ended June 30, 2018, the District incurred a pension expense of \$976,651. As of measurement date of June 30, 2018, the District has deferred outflows and deferred inflows of resources related to pensions as follows:

Description	Deferred outflow of Resources	Deferred inflow of Resources
Pension contribution made after measurement date	\$ 812,147	\$ -
Difference between expected and actual experiences	219,267	74,615
Difference between projected and actual earnings on pension investments	28,253	-
Adjustment due to difference in proportion	370,386	115,238
Difference between District's contribution and proportionate share of contribution	110,620	219,422
Change of assumptions	651,507	159,672
Total	\$ 2,192,180	\$ 568,947

The amounts above are net of outflows and inflows recognized in the 2017-2018 measurement period expense.

Deferred outflows of resources related to pensions resulting from District's contributions subsequent to the measurement date in the amount of \$812,147 will be recognized as a reduction of the collective net pension liability in the year ended June 30, 2020.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources Resources
2020	\$ 616,221
2021	381,370
2022	(135,104)
2023	(51,401)
Thereafter	-
Total	\$ 811,086

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Other Postemployment Benefits (“OPEB”)

At June 30, 2019, total OPEB liability and related deferred outflows of resources and deferred inflows of resources are as follow:

Deferred outflows of resources:	
OPEB contribution after measurement date	\$ 953,106
Difference between expected and actual experience	2,053,792
Projected earnings on pension plan investments under/(in excess of) actual earnings	21,982
Total deferred outflows of resources	\$ 3,028,880
 Total other postemployment benefit liability	 \$ 9,972,659
 Deferred inflows of resources:	
Change of assumptions	5,610,260
Total deferred inflows of resources	\$ 5,610,260
 OPEB Expense	 \$ 2,704,429

General Information about the OPEB Plan

Plan Description

The District pays a portion of the cost of health insurance for retirees (including prescription drug benefits) under any group plan offered by the CalPERS Health Program, subject to certain restrictions as determined by the District. The District offers post-employment medical benefits to retired employees who satisfy the eligibility rules. Spouses and surviving spouses are also eligible to receive benefits. Retirees may enroll in any medical plan available through the District’s CalPERS Health Program, a cost-sharing multiple-employer medical coverage plan. The contribution requirements of eligible retired employees and the District are established and may be amended by the Board of Directors.

Eligibility

As of the June 30, 2018, the measurement date, the following current and former employees were covered by the benefit terms under the OPEB Plan:

Active employees	79
Inactive employees or beneficiaries currently receiving benefits	25
Inactive employees entitled to, but not yet receiving benefits	-
Total	104

Contributions

The OPEB Plan and its contribution requirements are established by Ordinance and may be amended by Board action to update the original Ordinance. The annual contribution is based on the actuarially determined contribution. For the fiscal year ended June 30, 2019, the District’s cash contributions were \$567,000 in payments to the California Employers’ Retiree Benefit Trust (CERBT) Fund and the estimated implied subsidy was \$386,105 resulting in total payments of \$953,106.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Other Postemployment Benefits (“OPEB”) (Continued)

Net OPEB Obligation

The District’s Net OPEB Liability was measured as of June 30, 2018 and the Total OPEB Liability used to calculate the Net OPEB Liability was determined by an actuarial valuation as of June 30, 2018.

Actuarial Assumptions

Actuarial Valuation Date	June 30, 2018
Contribution Policy	District contributes full ADC
Actuarial Assumptions:	
Discount Rate	6.75% at 6/30/18, net of investment expenses
Expected Long-Term Rate on	6.75% at 6/30/18, net of investment expenses
Return on Investments	Expected District contributions projected to keep sufficient plan assets to pay all benefits from trust
General Inflation	2.75% per annum
Mortality, Retirement, Disability, Termination	CalPERS 1997-2015 experience study
Mortality Improvement	Mortality projected fully generational with Scale MP-2018
Salary Increases	3% aggregate; merit CalPERS 1997-2015 experience study
Medical Trend	Non-Medicare rate of 7.5% and Medicare rate of 6.5% for 2020, decreasing to an ultimate rate of 4.0% in 2076.
Dental and Vision Trend	3.00%
Healthcare Participation for Future Retirees	DOH < 7/1/2006: 95% DOH ≥ 7/1/2006: 50% with 5 years of service, increasing to 95% with 20 years of service
Medicare Eligibility	DOH < 3/31/1986: 2/3 eligible DOH > 3/31/1986: 100% eligible
PPACA Excise Tax	2% of cash benefit for PPACA High Cost Plan Excise Tax

The long-term expected rate of return on OPEB plan investments was determined using a building- block method in which expected future real rates of return (expected returns, net of OPEB plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Rate of Return
Global Equity	57.00%	4.82%
Fixed Income	27.00%	1.47%
TIPS	5.00%	1.29%
Commodities	3.00%	0.84%
REITS	8.00%	3.76%
Total	100.00%	

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Other Postemployment Benefits (“OPEB”) (Continued)

Net OPEB Obligation (Continued)

Discount Rate

The discount rate used to measure the total OPEB liability was 6.75 percent, based on CERBT Strategy 1 investment policy. The projection of cash flows used to determine the discount rate assumed that District contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the OPEB plan’s fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees and beneficiaries. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

Change in Net OPEB Liability

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability/(Asset) (c) = (a) - (b)
Balance at June 30, 2018 (June 30, 2017 Measurement Date)	\$ 8,110,225	\$ -	\$ 8,110,225
Changes recognized for the measurement period:			
Service cost	236,285	-	236,285
Interest on the total OPEB liability	552,581	-	552,581
Actual vs. expected experience	2,279,483	-	2,279,483
Changes of assumption	(43,695)	-	(43,695)
Contributions - employer	-	1,150,225	(1,150,225)
Net investment income	-	12,291	(12,291)
Benefits payments	(320,225)	(320,225)	-
	-	(296)	296
Net Changes during July 1, 2018 to June 30, 2019	2,704,429	841,995	1,862,434
Balance at June 30, 2019 (June 30, 2018 Measurement Date)	\$ 10,814,654	\$ 841,995	\$ 9,972,659

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the District if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate, for measurement period ended June 30, 2018:

Plan's Net OPEB Liability (Asset)		
Discount Rate - 1% (5.75%)	Current Discount Rate (6.75%)	Discount Rate + 1% (7.75%)
\$ 11,684,576	\$ 9,972,659	\$ 8,586,144

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Other Postemployment Benefits (“OPEB”) (Continued)

Change in Net OPEB Liability (Continued)

Sensitivity of the Net OPEB Liability to Changes in the Health Care Cost Trend Rates

The following presents the net OPEB liability of the District if it were calculated using health care cost trend rates that are one percentage point lower or one percentage point higher than the current rate, for measurement period ended June 30, 2018:

Plan's Net OPEB Liability (Asset)		
	Current Healthcare	
1% Decrease	Cost Trend Rate	1% Increase
\$ 8,436,099	\$ 9,972,659	\$ 11,921,917

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the fiscal year ended June 30, 2019, the District recognized OPEB expense of \$175,005. As of fiscal year ended June 30, 2019, the District reported deferred outflows of resources related to OPEB from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Changes of assumptions	\$ -	\$ 5,610,260
Net difference between projected and actual earnings on plan investments	21,982	-
Difference between expected and actual experience	2,053,792	-
Employer contributions made subsequent to the measurement date	953,106	-
Total	\$ 3,028,880	\$ 5,610,260

The \$953,106 reported as deferred outflows of resources related to OPEB resulting from the District's contributions subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ending June 30, 2019.

Amount reported as deferred outflows of resources related to OPEB will be recognized as future OPEB expense as follows:

Year Ended June 30	Deferred Outflows/(Inflows) of Resources
2020	\$ (592,389)
2021	(592,389)
2022	(592,389)
2023	(592,389)
2024	(592,389)
Thereafter	(572,541)
	<u>\$ (3,534,486)</u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 9 – Net Investment in Capital Assets

Net investment in capital assets as of June 30, 2019 was as follows:

Description	
Capital assets, net	\$ 125,693,015
Water participation rights	7,073,634
Loss on debt refunding	191,846
Capital related debt:	
Bonds payable - current	(410,000)
Bonds payable - noncurrent	(20,630,000)
Bond premium	(1,116,146)
Contracts payable - current	(652,629)
Contracts payable - noncurrent	(9,413,115)
Net investment in capital assets	<u>\$ 100,736,605</u>

Note 10 – Commitments and Contingencies

Construction Contracts

The District has a variety of agreements with private parties relating to the installation, improvement or modification of water facilities and distribution systems within its service area. The financing of such construction contracts is being provided primarily from the District's replacement reserves and advances for construction.

Litigation

In the ordinary course of operations, the District is subject to claims and litigation from outside parties. After consultation with legal counsel, the District has estimated an aggregate contingent liability related to various claims and litigations in the amount of \$438,970. The contingent liability is periodically adjusted as additional information becomes available affecting management's estimate. Actual claims and settlements paid will likely differ from this amount.

West Valley Water District and other local water agencies joined in a lawsuit against Fontana Water Company for over pumping the local ground water basins. The lawsuit resulted in an awarded of money to West Valley Water District and the other plaintiffs

Note 11 – Risk Management

The District is exposed to various risks of loss related to torts, theft of, damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The District is a member of the Association of California Water Agencies/Joint Powers Insurance Authority (ACWA/JPIA), an intergovernmental risk sharing joint powers authority created to provide self-insurance programs for California water agencies. The purpose of the ACWA/JPIA is to arrange and administer programs of self-insured losses and to purchase excess insurance coverage. As of June 30, 2019, the District participated in the liability and property programs of the ACWA/JPIA as follows:

- General and auto liability, public officials and employees' errors and omissions: Total risk financing self-insurance limits of \$5,000,000, combined single limit at \$5,000,000 per occurrence. The JPIA purchases additional excess coverage layers: \$60 million per occurrence for general, auto and public officials' liability, which increases the limits on the insurance coverage noted above.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 11 – Risk Management (Continued)

In addition to the above, the District also has the following insurance coverage:

- Public employee dishonesty coverage up to \$100,000 per loss includes public employee dishonesty, forgery or alteration and theft, disappearance and destruction coverages.
- Property loss is paid at the replacement cost for property on file, if replaced within two years after the loss, otherwise paid on an actual cash value basis, to a combined total of \$500 million per occurrence, subject to a \$2,500 deductible per occurrence.
- Boiler and machinery coverage for the replacement cost up to \$100 million per occurrence, subject to various deductibles depending on the type of equipment.
- Workers' compensation insurance up to California statutory limits for all work-related injuries/illnesses covered by California law. Coverage is through the Special Districts Risk Management Authority.

Settled claims have not exceeded any of the coverage amounts in any of the last three fiscal years and there were no reductions in the District's insurance coverage during the last three years. Liabilities are recorded when it is probable that a loss has been incurred and the amount of the loss can be reasonably estimated net of the respective insurance coverage. Liabilities include an amount for claims that have been incurred but not reported (IBNR). There were no IBNR claims payable as of June 30, 2019, 2018 and 2017, other than an estimated contingent liability for various litigation, as described in Note 10.

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**REQUIRED SUPPLEMENTARY INFORMATION
(UNAUDITED)**

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West Valley Water District
Required Supplementary Information (Unaudited)
Schedule of the District's Proportionate Share of the Net Pension Liability and Related Ratios
As of June 30, 2019

Last Ten Fiscal Years¹

California Public Employees' Retirement System ("CalPERS") - Miscellaneous Rate Plan

Measurement period ended	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
District's Proportion of the Net Pension Liability	0.1516%	0.1485%	0.1447%	0.1608%	0.1773%
District's Proportionate Share of the Net Pension Liability/(Asset)	<u>\$ 5,714,823</u>	<u>\$ 5,854,618</u>	<u>\$ 5,025,330</u>	<u>\$ 4,411,991</u>	<u>\$ 4,381,344</u>
District's Covered Payroll	<u>\$ 5,589,317</u>	<u>\$ 5,443,095</u>	<u>\$ 4,320,078</u>	<u>\$ 3,985,522</u>	<u>\$ 3,776,382</u>
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered Payroll	<u>102.25%</u>	<u>107.56%</u>	<u>116.32%</u>	<u>110.70%</u>	<u>116.02%</u>
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	<u>80.51%</u>	<u>78.53%</u>	<u>78.61%</u>	<u>78.40%</u>	<u>79.82%</u>

¹ Historical information is presented for measurement periods for which GASB 68 is applicable. Additional years' information will be displayed as it becomes available.

West Valley Water District
Required Supplementary Information (Unaudited)
Schedule of Contributions
For the Year Ended June 30, 2019

Last Ten Fiscal Years¹

California Public Employees' Retirement System ("CalPERS") - Miscellaneous Rate Plan

Fiscal year	2018-19	2017-18	2016-17	2015-16	2014-15
Actuarially determined contribution ²	\$ 812,147	\$ 715,005	\$ 628,828	\$ 658,011	\$ 608,372
Contribution in relation to the determined contribution ²	(812,147)	(715,005)	(628,828)	(1,272,291)	(608,372)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ (614,280)	\$ -
District's covered payroll	\$ 6,317,955	\$ 6,059,920	\$ 5,443,095	\$ 4,320,078	\$ 3,985,522
Contribution as a percentage of covered payroll	12.85%	11.80%	11.55%	29.45%	15.26%

¹ Historical information is presented for measurement periods for which GASB 68 is applicable. Additional years' information will be displayed as it becomes available.

² Employers are assumed to make contributions equal to the actuarially determined contributions. However, some employers may choose to make additional contributions towards their side fund or their unfunded liability. Employer contributions for such plans exceed the actuarially determined contributions. CalPERS has determined that employer obligations referred to as "side funds" are not considered separately financed specific liabilities.

Notes to Schedule:

Change in Benefit Terms: The figures above do not include any liability impact that may have resulted from plan changes which occurred after June 30, 2017 as they have minimal cost impact. This applies for voluntary benefit changes as well as any offers of Two Years Additional Service Credit (a.k.a Golden Handshakes).

Changes of Assumptions: In 2018, demographic assumptions and inflation rate were changed in accordance to the CalPERS Experience Study and Review of Actuarial Assumptions December 2017. There were no changes in the discount rate. In 2017, the accounting discount rate reduced from 7.65 percent to 7.15 percent. In 2016, there were no changes. In 2015, amounts reported reflect an adjustment of the discount rate from 7.5 percent (net of administrative expense) to 7.65 percent (without a reduction for pension plan administrative expense). In 2014, amounts reported were based on the 7.5 percent discount rate.

West Valley Water District
Required Supplementary Information (Unaudited)
Schedule of Contributions (Continued)
For the Year Ended June 30, 2019

Last Ten Fiscal Years¹

California Public Employees' Retirement System ("CalPERS") - Miscellaneous Rate Plan

Fiscal year	2013-14
Actuarially determined contribution	\$ 563,394
Contribution in relation to the actuarially determined contribution	(563,394)
Contribution deficiency (excess)	\$ -
Covered payroll	\$ 3,776,382
Contribution as a percentage of covered payroll	14.92%

¹ Historical information is presented for measurement periods for which GASB 68 is applicable. Additional years' information will be displayed as it becomes available.

² Employers are assumed to make contributions equal to the actuarially determined contributions. However, some employers may choose to make additional contributions towards their side fund or their unfunded liability. Employer contributions for such plans exceed the actuarially determined contributions. CalPERS has determined that employer obligations referred to as "side funds" are not considered separately financed specific liabilities.

Notes to Schedule:

Change in Benefit Terms: The figures above do not include any liability impact that may have resulted from plan changes which occurred after June 30, 2017 as they have minimal cost impact. This applies for voluntary benefit changes as well as any offers of Two Years Additional Service Credit (a.k.a Golden Handshakes).

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West Valley Water District
Required Supplementary Information (Unaudited)
Schedule of Changes in Net OPEB Liability and Related Ratios
For the Year Ended June 30, 2019

Last Ten Fiscal Years ¹

Other Postemployment Benefits ("OPEB") Plan

Measurement period	2017-18	2016-17
Total OPEB liability		
Service cost	\$ 236,285	\$ 683,520
Interest	552,581	428,490
Actual vs. expected experience	2,279,483	-
Changes of assumptions	(43,695)	(7,209,389)
Benefit payments	(320,225)	(287,245)
Net change in total OPEB liability	2,704,429	(6,384,624)
Total OPEB liability - beginning	8,110,225	14,494,849
Total OPEB liability - ending (a)	<u>\$ 10,814,654</u>	<u>\$ 8,110,225</u>
OPEB fiduciary net position		
Contributions -		
Contributions - employer	1,150,225	-
Net investment income	12,291	-
Benefit payments	(320,225)	-
Administrative expense	(296)	-
Net change in plan fiduciary net position	841,995	-
Plan fiduciary net position, beginning	-	-
Plan fiduciary net position, ending (b)	<u>841,995</u>	<u>-</u>
Plan net OPEB liability - ending (a) - (b)	<u>\$ 9,972,659</u>	<u>\$ 8,110,225</u>
Plan's fiduciary net position as a percentage of the total OPEB liability	<u>7.79%</u>	<u>0.00%</u>
Covered payroll	<u>\$ 6,831,331</u>	<u>\$ 6,080,776</u>
Plan net OPEB liability as a percentage of covered payroll	<u>158.31%</u>	<u>133.37%</u>

¹ Historical information is presented for measurement periods for which GASB 75 is applicable. Additional years' information will be displayed as it becomes available.

Notes to Schedule:

Changes in assumptions: None

West Valley Water District
Required Supplementary Information (Unaudited)
Schedule of Contributions
For the Year Ended June 30, 2019

Last Ten Fiscal Years ¹

Other Postemployment Benefits ("OPEB") Plan

Fiscal year	2018-19 ¹	2017-18 ¹
Actuarially determined contribution	\$ 859,000	\$ 869,006
Contribution in relation to the actuarially determined contribution	(953,106)	(1,150,225)
Contribution deficiency (excess)	<u>\$ (94,106)</u>	<u>\$ (281,219)</u>
Covered payroll	7,263,849	6,831,331
Contribution as a percentage of covered payroll	13.12%	16.84%

¹ Historical information is presented for measurement periods for which GASB 75 is applicable. Additional years' information will be displayed as it becomes available.

Notes to Schedule:

Valuation date June 30, 2016

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry age normal
Amortization method	Level percentage of payroll
Amortization Period	17-year fixed period for 2018/19
Asset valuation method	N/A
Discount rate	6.50%
General inflation	2.75%
Medical trend	Non-Medicare - 7.5% for 2020, decreasing to an ultimate rate of 4.0% in 2076 and later years. Medicare - 6.5% for 2020, decreasing to an ultimate rate of 4.0% in 2076 and later years.
Mortality improvement	Mortality projected fully generational with Scale MP-16.

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STATISTICAL SECTION

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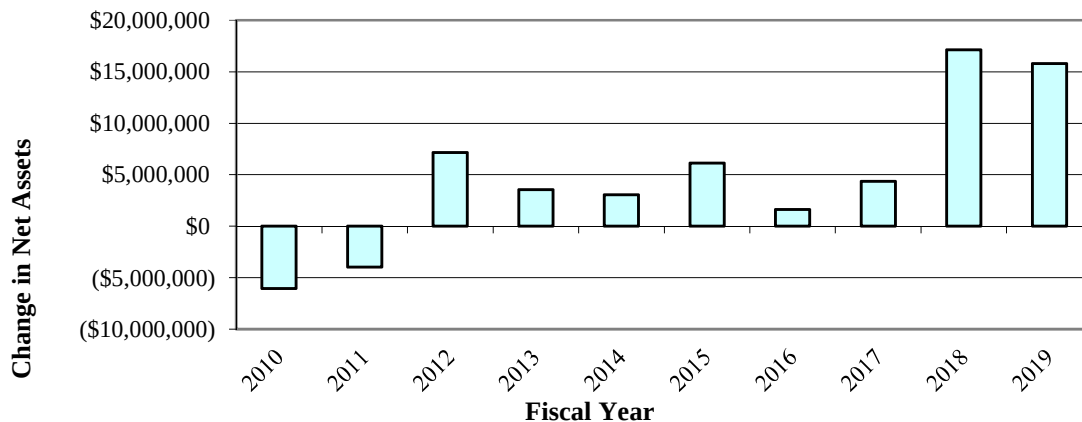
West Valley Water District

Changes in Net Position by Component

Last Ten Fiscal Years

Schedule 1

	Fiscal Year				
	2010	2011	2012	As Restated 2013	As Restated 2014
Changes in net position:					
Operating revenues (see Schedule 2)	\$ 12,847,976	\$ 14,396,755	\$ 15,601,438	\$ 19,264,708	\$ 22,907,911
Operating expenses (see Schedule 3)	(15,076,628)	(15,152,541)	(14,146,510)	(15,781,608)	(16,995,392)
Depreciation and amortization	(5,931,124)	(7,183,269)	(6,751,348)	(6,734,329)	(7,554,520)
Operating income(loss)	(8,159,776)	(7,939,055)	(5,296,420)	(3,251,229)	(1,642,001)
Non-operating revenues(expenses):					
Property taxes	1,160,572	1,268,513	1,422,629	1,760,434	1,459,571
Interest and investment earnings	92,589	87,581	60,255	48,171	64,380
Rental income - cellular antennas	41,767	42,393	27,714	35,663	26,746
Intergovernmental revenue	-	-	-	-	-
Gain/(loss) on sale/disposition of capital assets	(15,414)	3,137	16,171	-	45,650
Grants and Reimbursements	-	-	-	2,000,000	-
Board approved rate rebate	-	-	-	-	-
Interest expense - long term debt	(1,289,174)	(1,339,178)	(1,295,266)	(1,246,914)	(1,196,877)
Bond issuance costs	-	-	-	-	-
Amortization of deferred charges	(48,474)	(48,474)	(48,474)	(601,613)	(19,740)
Other non-operating revenue/(expense), net	(505,204)	56,826	(146,563)	55,737	34,575
Total non-operating revenues(expenses), net	(563,338)	70,798	36,466	2,051,478	414,305
Net income (loss) before capital contributions	(8,723,114)	(7,868,257)	(5,259,954)	(1,199,751)	(1,227,696)
Capital contributions	2,672,626	3,893,837	12,431,630	4,760,891	4,283,248
Changes in net position	\$ (6,050,488)	\$ (3,974,420)	\$ 7,171,676	\$ 3,561,140	\$ 3,055,552
Prior period adjustment					
Net position by component:					
Net investment in capital assets	\$ 74,814,533	\$ 76,040,629	\$ 85,587,880	\$ 87,705,995	\$ 86,581,350
Restricted for capital projects	7,177,336	6,061,134	5,058,581	5,061,866	3,190,652
Restricted for debt service	55,816	56,104	55,093	2,196,172	2,194,435
Unrestricted	12,145,548	10,824,854	9,666,276	8,964,937	15,018,085
Total net assets	\$ 94,193,233	\$ 92,982,721	\$ 100,367,830	\$ 103,928,970	\$ 106,984,522

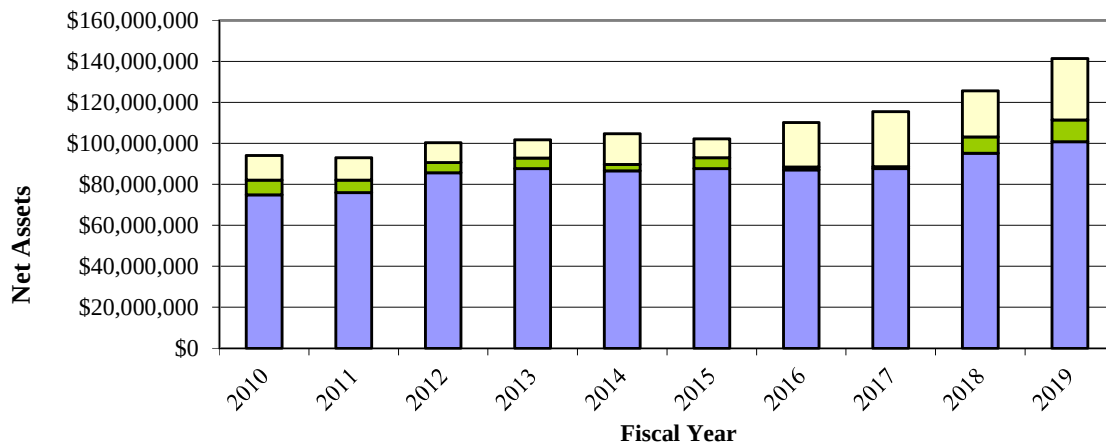


Source: West Valley Water District Accounting Department

West Valley Water District
Changes in Net Position by Component (Continued)
Last Ten Fiscal Years

Schedule 1

	Fiscal Year				
	2015	2016	2017	2018	2019
Changes in net position:					
Operating revenues (see Schedule 2)	\$ 25,012,159	\$ 23,230,364	\$ 26,677,886	\$ 28,543,972	\$ 28,356,765
Operating expenses (see Schedule 3)	(17,034,621)	(16,736,478)	(20,446,067)	(21,706,285)	(23,287,875)
Depreciation and amortization	(7,589,826)	(7,667,691)	(7,889,469)	(6,268,421)	(6,344,364)
Operating income(loss)	387,712	(1,173,805)	(1,657,650)	569,266	(1,275,474)
Non-operating revenues(expenses):					
Property taxes	1,658,936	1,758,220	1,821,922	2,023,173	2,305,151
Interest and investment earnings	65,371	127,090	227,465	367,911	1,795,521
Rental income - cellular antennas	32,207	29,966	37,241	32,941	33,860
Intergovernmental revenue	-	-	-	-	-
Gain/(loss) on sale/disposition of capital assets	24,644	24,400	60,980	15,400	-
Grants and Reimbursements	-	43,241	2,518,254	554,897	703,949
Board approved rate rebate	-	(2,547,492)	-	(2,263,619)	-
Interest expense - long term debt	(1,148,837)	(1,055,660)	(940,835)	(879,953)	(897,275)
Bond issuance costs	-	-	(268,915)	-	-
Amortization of deferred charges	(19,740)	-	-	-	-
Other non-operating revenue/(expense), net	202,348	24,524	(931,062)	73,498	3,015,464
Total non-operating revenues(expenses), net	814,929	(1,595,711)	2,525,050	(75,752)	6,956,670
Net income (loss) before capital contributions	1,202,641	(2,769,516)	867,400	493,514	5,681,196
Capital contributions	4,940,175	4,383,464	3,506,937	16,643,552	10,120,527
Changes in net position	\$ 6,142,816	\$ 1,613,948	\$ 4,374,337	\$ 17,137,066	\$ 15,801,723
Prior period adjustment		\$ 1,421,880			
Net position by component:					
Net investment in capital assets	\$ 87,693,459	\$ 87,041,544	\$ 87,731,340	\$ 95,204,664	\$ 100,736,605
Restricted for capital projects	5,360,944	1,366,458	929,737	7,875,322	10,699,965
Restricted for debt service	5,873,252	1,020,896	-	-	-
Unrestricted	9,219,049	21,753,634	26,895,792	22,622,990	30,068,129
Total net assets	\$ 108,146,704	\$ 111,182,532	\$ 115,556,869	\$ 125,702,976	\$ 141,504,699

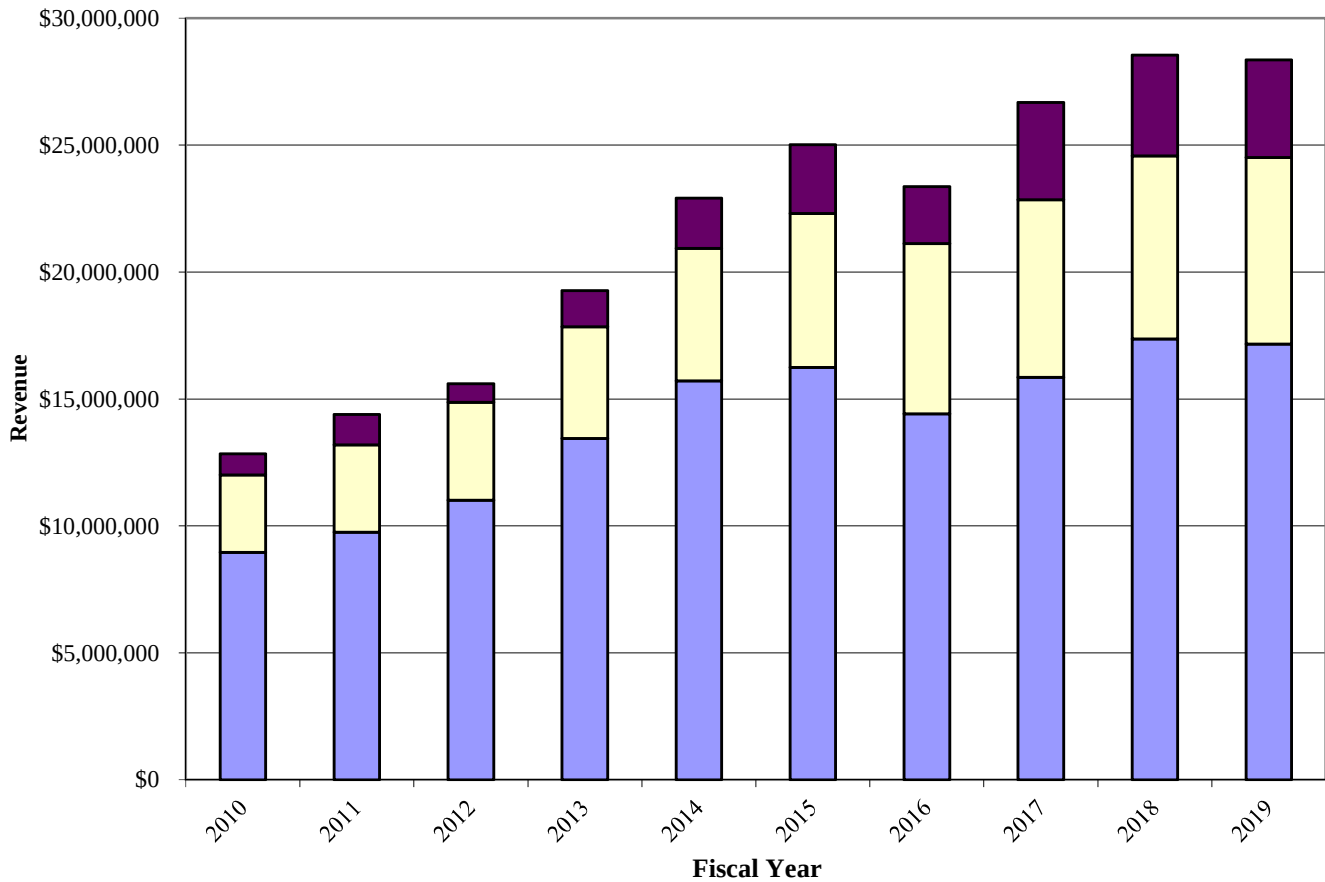


Source: West Valley Water District Accounting Department

West Valley Water District
Operating Revenue By Source
Last Ten Fiscal Years

Schedule 2

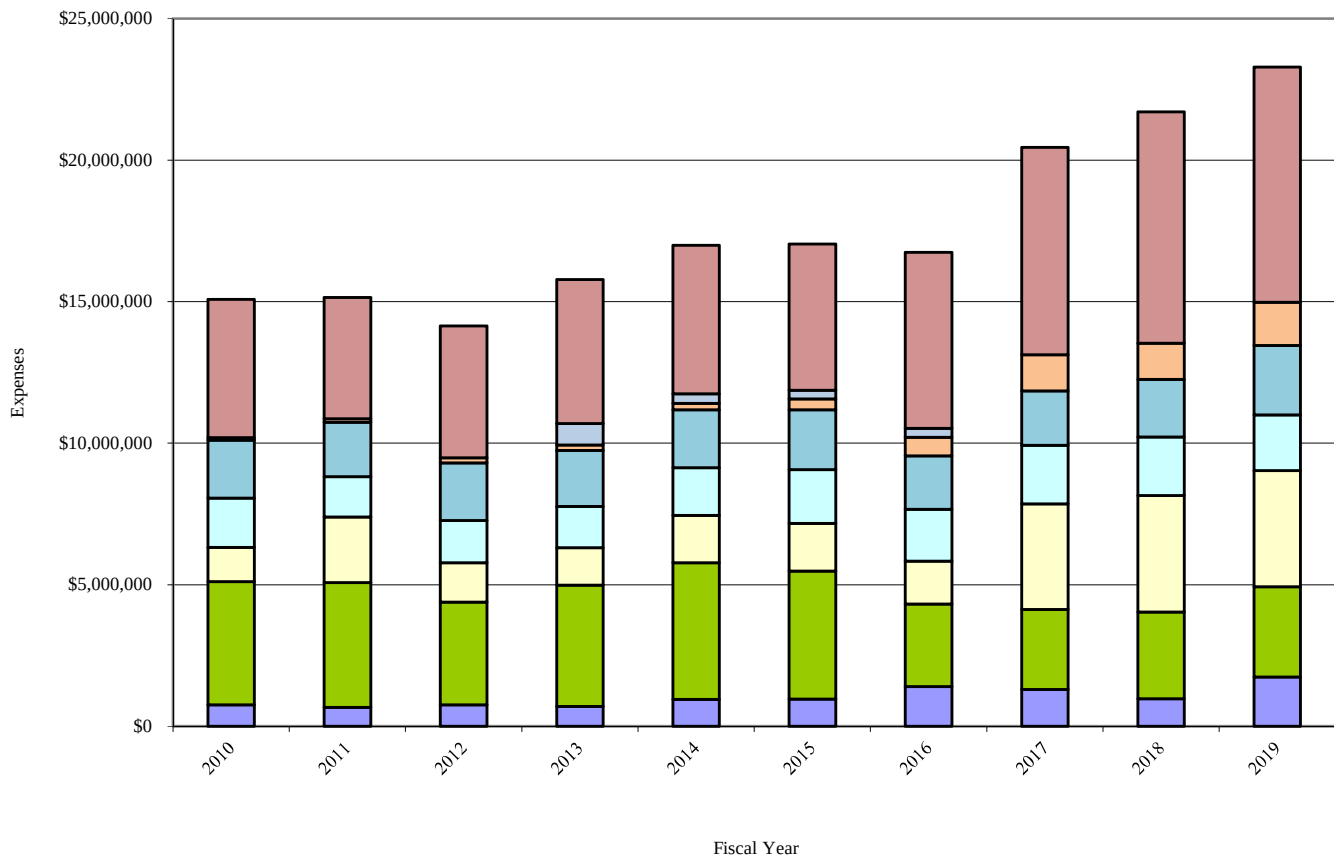
Fiscal Year	Water Consumption Sales	Water Service Charges	Other Operating Income	Total Operating Revenue
2010	8,961,085	3,053,040	833,851	12,847,976
2011	9,750,303	3,448,236	1,198,216	14,396,755
2012	11,019,032	3,855,757	726,649	15,601,438
2013	13,442,407	4,398,803	1,423,498	19,264,708
2014	15,715,734	5,214,461	1,977,716	22,907,911
2015	16,246,445	6,061,174	2,704,540	25,012,159
2016	14,420,079	6,702,841	2,240,801	23,363,721
2017	15,854,879	6,989,061	3,833,946	26,677,886
2018	17,370,508	7,201,939	3,971,525	28,543,972
2019	17,163,673	7,350,127	3,842,965	28,356,765



West Valley Water District Operating Expenses by Activity Last Ten Fiscal Years

Schedule 3

Fiscal Year	Source of Supply	Pumping	Water Treatment	Transmission and Distribution	Customer Accounts	Public Affairs	Bioremediation	General and Administrative	Total Operating Expenses
2010	760,170	4,356,011	1,204,436	1,740,459	2,043,316	90,123	-	4,882,113	15,076,628
2011	671,055	4,401,510	2,325,866	1,417,810	1,923,981	122,064	-	4,290,255	15,152,541
2012	759,898	3,624,258	1,388,672	1,500,136	2,032,390	183,840	-	4,657,316	14,146,510
2013	698,507	4,288,300	1,323,713	1,451,836	1,977,941	199,973	752,907	5,088,431	15,781,608
2014	951,189	4,831,597	1,668,548	1,687,965	2,035,498	229,295	342,780	5,248,520	16,995,392
2015	960,369	4,524,032	1,680,613	1,907,194	2,104,526	383,739	308,193	5,165,955	17,034,621
2016	1,404,819	2,910,119	1,524,622	1,825,012	1,885,567	656,120	317,601	6,212,618	16,736,478
2017	1,307,160	2,823,389	3,723,148	2,071,867	1,923,943	1,273,562	-	7,322,998	20,446,067
2018	972,624	3,066,501	4,110,055	2,074,410	2,031,657	1,280,123	-	8,170,915	21,706,285
2019	1,740,717	3,189,444	4,101,693	1,966,357	2,456,429	1,520,168	-	8,313,067	23,287,875



Source: West Valley Water District Accounting Department

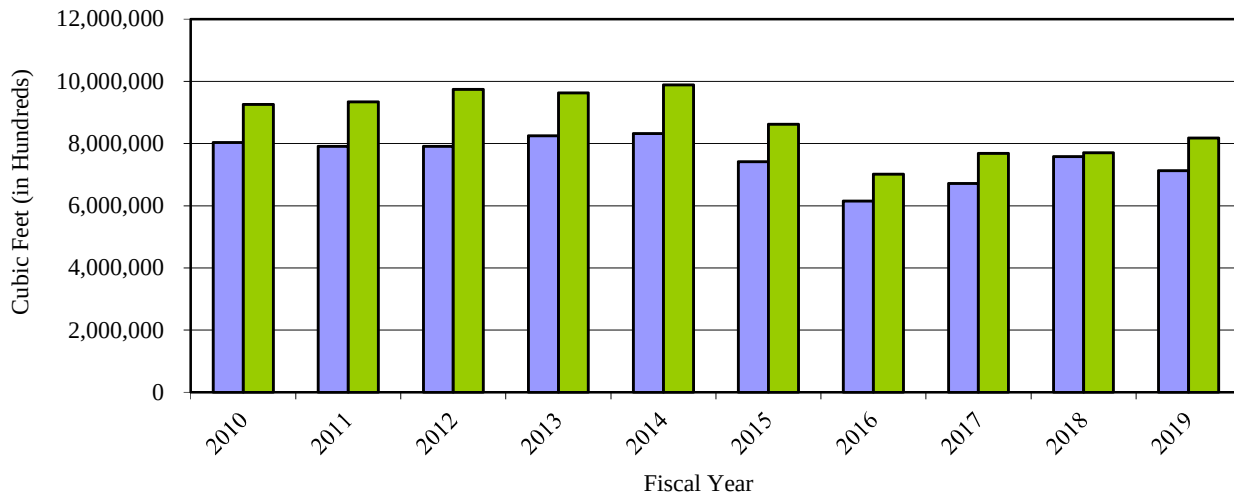
West Valley Water District

Revenue Base

Last Ten Fiscal Years

Schedule 4

Fiscal Year	Water Sales (HCF)	Water Produced (HCF)
2010	8,036,066	9,261,727
2011	7,909,036	9,337,086
2012	7,912,309	9,742,948
2013	8,250,812	9,629,632
2014	8,323,184	9,891,169
2015	7,419,170	8,621,349
2016	6,151,431	7,016,601
2017	6,710,551	7,685,902
2018	7,576,183	7,705,595
2019	7,127,708	8,173,416



Note: See Schedule 2 "Operating Revenue by Source" for information regarding water revenues.

Source: West Valley Water District Accounting Department

West Valley Water District

Revenue Rates

Last Ten Fiscal Years

Schedule 5

Water Consumption per Hundred Cubic Feet (HCF)

Service Type	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Fire	60.50	67.00	74.00	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Tier 1				80.00	92.50	106.50	106.50	106.50	106.50	106.50
Tier 2				87.50	100.00	115.00	115.00	115.00	115.00	115.00
Tier 3				95.00	110.00	126.50	126.50	126.50	126.50	126.50
Golf Course	0.77	0.85	0.94	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Hydrant	1.98	2.18	2.40	2.76	2.76	2.76	2.76	2.76	2.76	2.76
Irrigation:										
Demand	0.61	0.68	0.75	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Gravity Flow	0.61	0.68	0.75	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Pressure	0.88	0.97	1.07	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Water	1.21	1.34	1.48	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Tier 1				1.60	1.85	2.13	2.13	2.13	2.13	2.13
Tier 2				1.75	2.00	2.30	2.30	2.30	2.30	2.30
Tier 3				1.90	2.20	2.53	2.53	2.53	2.53	2.53

Connection Fees Per Month

Meter Size	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Fire										
5/8" & 3/4"	7.57	8.33	9.17	10.54	10.54	10.54	10.54	10.54	10.54	10.54
1"	7.57	8.33	9.17	10.54	10.54	10.54	10.54	10.54	10.54	10.54
1 1/2"	11.36	12.50	13.76	15.81	15.81	15.81	15.81	15.81	15.81	15.81
2"	15.14	16.66	18.34	21.08	21.08	21.08	21.08	21.08	21.08	21.08
3"	22.71	24.99	27.51	31.62	31.62	31.62	31.62	31.62	31.62	31.62
4"	30.28	33.32	36.68	42.16	42.16	42.16	42.16	42.16	42.16	42.16
6"	45.42	49.98	55.02	63.24	63.24	63.24	63.24	63.24	63.24	63.24
8"	60.56	66.64	73.36	84.32	84.32	84.32	84.32	84.32	84.32	84.32
Golf Course										
All Sizes	47.66	52.43	57.68	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Hydrant										
All Sizes	52.58	57.84	63.63	73.17	73.17	73.17	73.17	73.17	73.17	73.17
Irrigation										
All Sizes:										
Demand	47.66	52.43	57.68	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Gravity Flow	47.66	52.43	57.68	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Pressure	47.66	52.43	57.68	By contract	By contract	By contract	By contract	By contract	By contract	By contract
Water										
5/8" & 3/4"	12.06	13.27	14.60	16.79	19.31	22.21	22.21	22.21	22.21	22.21
1"	17.97	19.77	21.75	25.01	28.76	33.07	33.07	33.07	33.07	33.07
1 1/2"	26.50	29.15	32.07	36.88	42.41	48.77	48.77	48.77	48.77	48.77
2"	36.50	40.15	44.17	50.80	58.42	67.18	67.18	67.18	67.18	67.18
3"	52.99	58.29	64.12	73.74	84.80	97.52	97.52	97.52	97.52	97.52
4"	69.85	76.84	84.53	97.21	111.79	128.56	128.56	128.56	128.56	128.56
6"	105.97	116.57	128.23	147.46	169.58	195.02	195.02	195.02	195.02	195.02
8"	142.08	156.29	171.92	197.71	227.37	261.48	261.48	261.48	261.48	261.48

Note 1: Out of District rates for Water Service are one and a half times the In District rates.

Note 2: The rates for Golf Course and Irrigation Services are by written agreement between the user and the District.

Source: West Valley Water District Board of Directors approved rate ordinances and resolutions

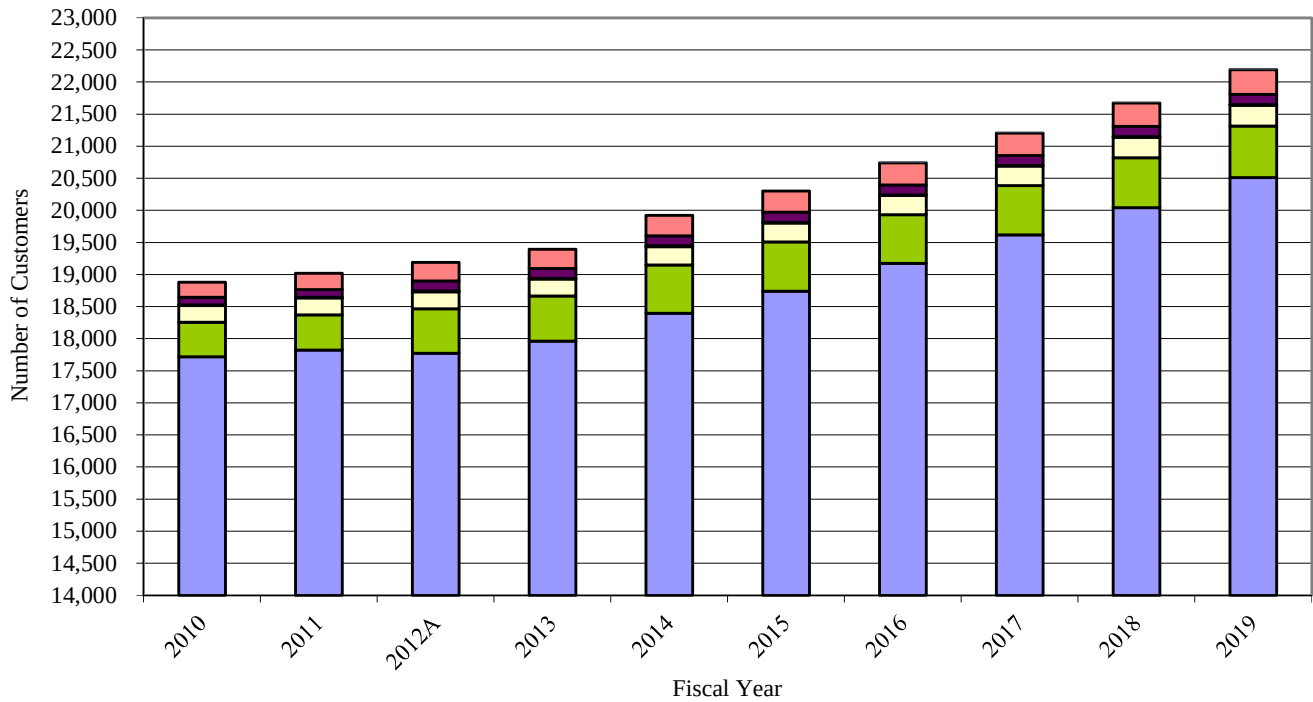
West Valley Water District

Customers by Type

Last Ten Fiscal Years

Schedule 6

Fiscal Year	Customer Type								Total
	Residential	Commercial	Fire Service	Irrigation	Multi-Family	Park way	Golf Course	Wholesale Water	
2010	17,715	543	257	11	117	238	1	-	18,882
2011	17,824	549	262	12	117	253	1	-	19,018
2012A	17,773	692	267	13	155	287	-	-	19,187
2013	17,961	703	266	10	155	296	-	-	19,391
2014	18,397	754	284	11	159	316	-	-	19,921
2015	18,740	769	292	11	159	330	-	-	20,301
2016	19,174	756	299	10	159	341	-	1	20,740
2017	19,620	766	302	10	159	346	-	1	21,204
2018	20,043	779	318	10	159	366	-	1	21,676
2019	20,509	803	327	8	159	386	-	1	22,193



Note A: As a result of the 2012 rate study, certain accounts were reclassified to other types.

Source: West Valley Water District Accounting Department

**West Valley Water District
Principal Customers
Last Ten Fiscal Years**

Schedule 7

Customer	2019		2010	
	Water Consumed	Percentage of Total	Water Consumed	Percentage of Total
Rialto Unified School District	187,549	2.63%	235,518	2.93%
City of Rialto	154,155	2.16%	163,717	2.04%
Robertson's Ready Mix	119,627	1.68%	164,062	2.04%
Aramark Uniform Services	115,188	1.62%	29,771	0.37%
Colton Joint Unified School District	113,534	1.59%	150,853	1.88%
City of Fontana	89,945	1.26%	109,865	1.37%
Target	84,089	1.18%	109,710	1.37%
Marygold Mutual Water Company	81,864	1.15%		0.00%
My Montceito III	60,481	0.85%	66,292	0.82%
Cal Trans	54,562	0.77%	2,873	0.04%
Total	<u>1,060,994</u>	<u>14.89%</u>	<u>1,032,661</u>	<u>12.85%</u>
Total Water Consumed (HCF)	<u>7,127,708</u>	<u>100.00%</u>	<u>8,036,066</u>	<u>100.00%</u>

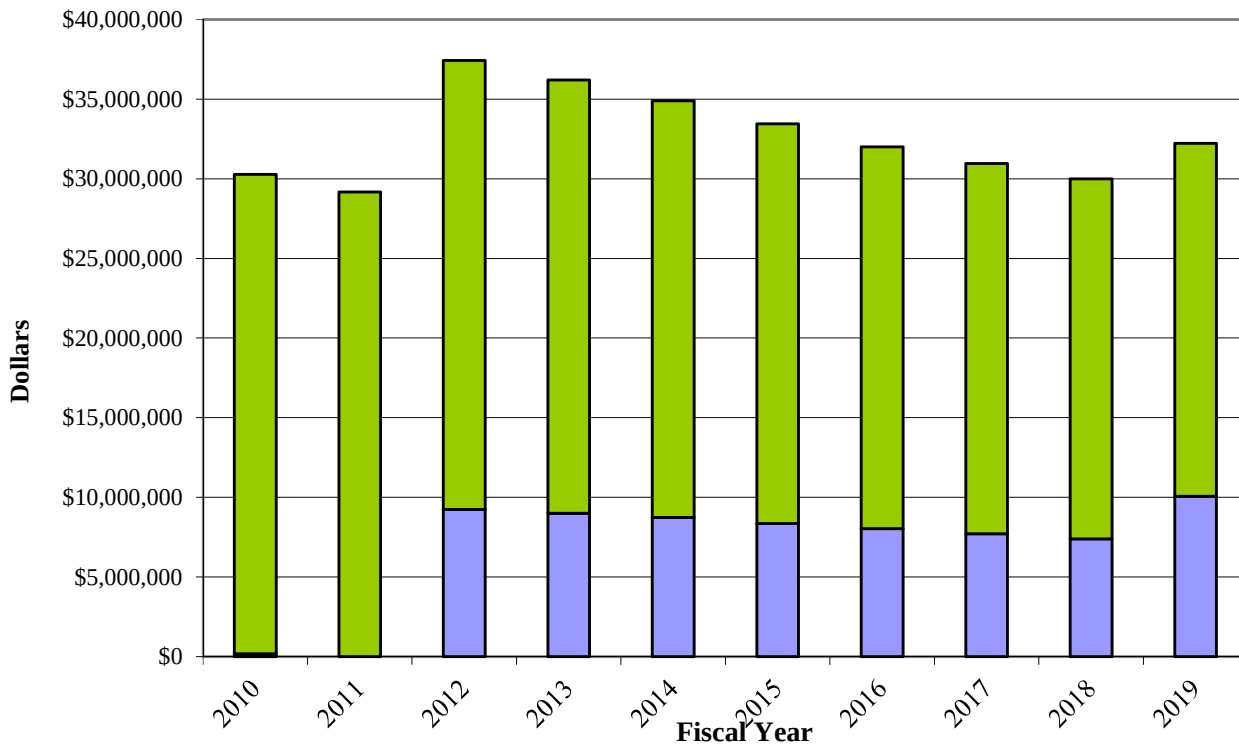
Note 1: Water Sales figures were taken from queries of the consumption data available in HTE.

Source: West Valley Water District Accounting Department

West Valley Water District
Ratios of Outstanding Debt by Type
Last Ten Fiscal Years

Schedule 8

Fiscal Year	Contracts Payable	Bonds Payable	Notes Payable	Total		
				Debt	Per Capita	As a Share of Personal Income
2010	180,009	30,095,000	-	30,275,009	301.96	1.01%
2011	-	29,170,000	-	29,170,000	290.94	0.93%
2012	9,234,336	28,195,000	-	37,429,336	370.47	1.16%
2013	9,002,807	27,190,000	-	36,192,807	358.71	1.12%
2014	8,734,867	26,155,000	-	34,889,867	345.39	1.05%
2015	8,359,750	25,080,000	-	33,439,750	325.48	0.99%
2016	8,038,221	23,955,000	-	31,993,221	310.22	0.88%
2017	7,716,692	23,232,381	-	30,949,073	299.56	0.81%
2018	7,395,163	22,596,763	-	29,991,926	289.60	0.75%
2019	10,065,744	22,156,146	-	32,221,889	311.50	0.77%



West Valley Water District
Pledged-Revenue Coverage
Last Ten Fiscal Years

							Schedule 9
Fiscal Year	Net	Operating	Net Available	Debt Service			Coverage
	Revenues	Expenses ⁽¹⁾	Revenues	Principal ⁽²⁾	Interest	Total	Ratio
2010	14,142,904	(14,391,194)	(248,290)	1,105,009	1,278,441	2,383,450	(0.10)
2011	15,855,205	(15,843,330)	11,875	1,296,529	1,241,103	2,537,632	0.00
2012	17,128,207	(14,836,728)	2,291,479	1,326,529	1,349,370	2,675,899	0.86
2013	21,164,713	(17,630,135)	3,534,578	1,356,529	1,297,214	2,653,743	1.33
2014	24,538,833	(18,212,009)	6,326,824	1,450,117	1,113,028	2,563,145	2.47
2015	26,995,665	(18,203,198)	8,792,467	1,446,529	1,148,837	2,595,366	3.39
2016	25,371,162	(20,346,357)	5,024,805	1,446,529	1,055,660	2,502,189	2.01
2017	31,359,870	(21,288,947)	10,070,923	1,486,529	940,835	2,427,364	4.15
2018	31,558,717	(24,550,480)	7,008,237	916,529	917,400	1,833,929	3.82
2019	36,210,708	(24,069,383)	12,141,325	1,052,629	940,215	1,992,844	6.09

Notes:

(1) Operating expenses exclude depreciation expense, change in contingent liability and other post employment benefit expense

(2) Bond was refinanced in fiscal year 2017. New debt for Hydroelectric plant in FY2019.

Source: West Valley Water District Accounting Department

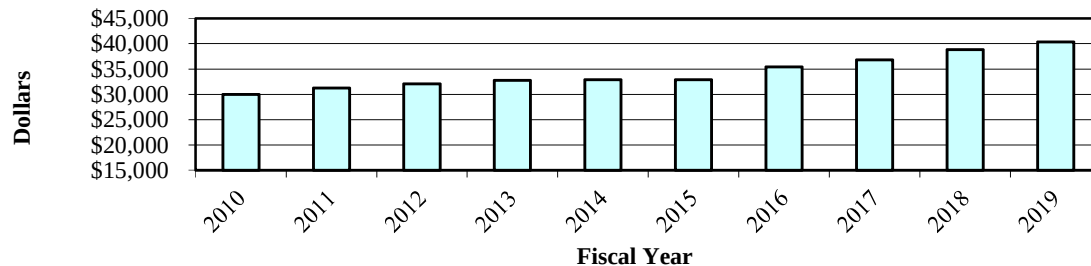
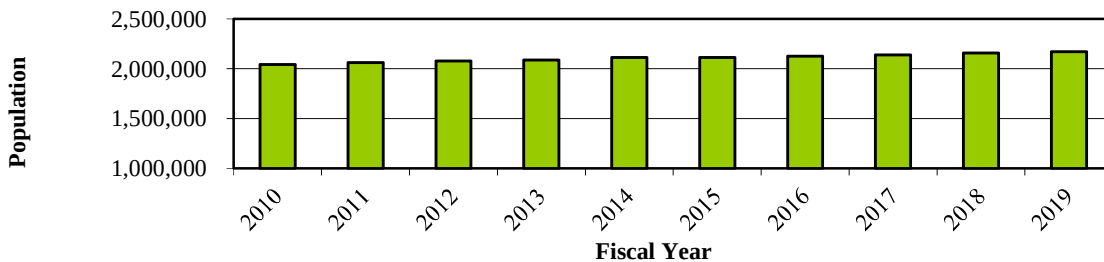
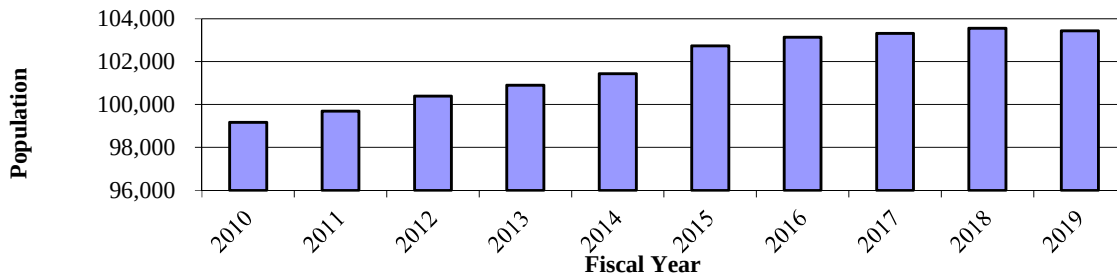
West Valley Water District

Demographics and Economic Statistics

Last Ten Calendar Years

Schedule 10

County of San Bernardino ⁽²⁾						
Year	Unemployment Rate	City of Rialto Population ⁽¹⁾	Unemployment Rate	Population	Personal Income (thousands of dollars)	Personal Income per Capita
2010	18.1%	99,171	14.2%	2,041,626	61,147,087	29,950
2011	16.4%	99,686	12.9%	2,063,143	64,454,103	31,241
2012	14.3%	100,397	11.1%	2,077,453	66,577,329	32,048
2013	13.3%	100,896	10.4%	2,088,371	68,387,465	32,747
2014	11.6%	101,429	9.0%	2,112,619	69,487,877	32,892
2015	9.5%	102,741	8.1%	2,112,619	69,487,877	32,892
2016	7.0%	103,132	5.8%	2,128,133	75,402,896	35,431
2017	4.7%	103,314	5.4%	2,140,096	78,830,801	36,835
2018	4.2%	103,562	3.9%	2,157,404	83,741,561	38,816
2019	3.9%	103,440	4.1%	2,171,603	87,550,004	40,316



Sources:

www.labormarketinfo.edd.ca.gov

<http://www.bea.gov/regional/bearfacts>

www.census.gov/

(1) Separate data is not available for the District, therefore the District has used the data for the City of Rialto. A substantial portion of the District lies within the city, and therefore, is a reasonable basis for determining the demographic and economic statistics of the District.

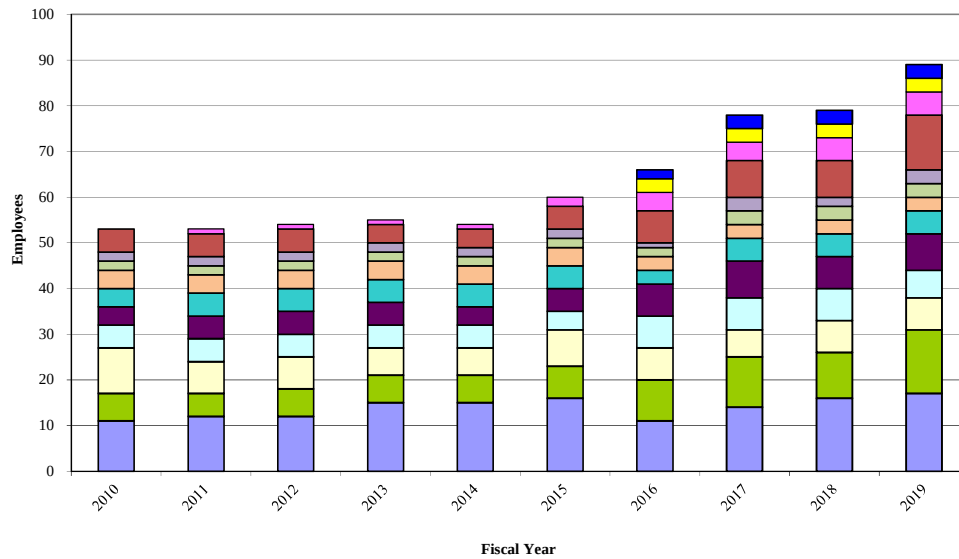
(2) Only County data is updated annually. Therefore, the District has chose to use its data since the District believes that the County data is representative of the conditions and experience of the District.

West Valley Water District Operating and Capacity Indicators Last Ten Fiscal Years

Schedule 11

Full-time Equivalent District Employees by Department

Fiscal Year	Water Treatment /Production	Maintenance /Asset Mgmt	Meters	Administration	Customer Service	Accounting	Billing	IT	Human Resources	Engineering	Public Affairs	Water Quality	Purchasing	Total
2010	11	6	10	5	4	4	4	2	2	5	0	0	0	53
2011	12	5	7	5	5	5	4	2	2	5	1	0	0	53
2012	12	6	7	5	5	5	4	2	2	5	1	0	0	54
2013	15	6	6	5	5	5	4	2	2	4	1	0	0	55
2014	15	6	6	5	4	5	4	2	2	4	1	0	0	54
2015	16	7	8	4	5	5	4	2	2	5	2	0	0	60
2016	11	9	7	7	7	3	3	2	1	7	4	3	2	66
2017	14	11	6	7	8	5	3	3	3	8	4	3	3	78
2018	16	10	7	7	7	5	3	3	2	8	5	3	3	79
2019	17	14	7	6	8	5	3	3	3	12	5	3	3	89



Source: West Valley Water District Human Resources Department

West Valley Water District
Operating and Capacity Indicators (Continued)
Last Ten Fiscal Years

Schedule 12

Other Operating and Capacity Indicators							
Fiscal Year	District Area (Square Miles)	Miles of Pipeline	Storage Tanks	Storage Capacity (MG)	Groundwater Wells	Well Capacity (MGD)	Fire Hydrants
2010	31	365	26	73.6	17	43.0	2,040
2011	31	366	26	73.6	17	38.0	2,040
2012	31	366	26	73.6	17	35.0	2,040
2013	31	368	26	73.6	17	35.0	2,040
2014	31	370	26	73.6	17	35.0	2,040
2015	31	370	26	73.6	17	35.0	2,040
2016	32	370	26	73.6	17	35.0	2,944
2017	32	375	26	73.6	17	35.0	3,085
2018	32	376	26	73.6	17	35.0	3,104
2019	32	382	26	73.6	17	35.0	3,204

MG - Millions of Gallons

MGD - Millions of Gallons per Day

Sources: West Valley Water District Operations/GIS

Note: The Fire Hydrant total is inclusive of Hydrants and Jones heads.

West Valley Water District

Principal Employers

Current Fiscal Year

Schedule 13

City of Rialto - 2019 ⁽¹⁾

Employer	Employees	Rank	Percentage of Total
			Employment
Rialto Unified School District	2500 to 2999	1	5.81 - 6.97 %
Chuze Fitness	500 to 999	2	1.16 - 2.32 %
Rialto City Mayor	250 to 499	3	.58 - 1.16 %
Walmart Supercenter	250 to 499	4	.58 - 1.16 %
Walmart	250 to 499	5	.58 - 1.16 %
Amazon.Com Inc	250 to 499	6	.58 - 1.16 %
Vista Cove Care Ctr At Rialto	100 to 249	7	.23 - .58 %
Stater Bros Markets	100 to 249	8	.23 - .58 %
Sierra Lathing Co Inc	100 to 249	9	.23 - .58 %
Mesa Counseling Svc	100 to 249	10	.23 - .58 %

City of Fontana - 2019 ⁽²⁾

Employer	Employees	Rank	Percentage of Total
			Employment
Fontana Unified School District	4,010	1	4.05%
Kaiser Foundation Hospitals	2,243	2	2.26%
City of Fontana	1,016	3	1.03%
Target Stores T 553	760	4	0.77%

City of Colton - 2019 ⁽³⁾

Employer	Employees	Rank	Percentage of Total
			Employment
Arrowhead Regional Medical Center	3,800	1	20.00%
Colton Joint Unified School District	742	2	3.91%
Lineage Logistics	430	3	2.26%
Ashley Furniture	400	4	2.11%

Note: Above sites have not been updated for the fiscal year 2019. The most recent data is displayed.

(1) City of Rialto, 2017-2018 CAFR, pg. 210

(2) City of Fontana, 2017-2018 CAFR, pg. 156

(3) City of Colton, 2017-2018 CAFR, pg. 165